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A Tax on Vacant Seats on Flights

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This annex proposes two new EU own resources on intra-EU flights: a uniform VAT additive to ~~national rates, and an ad valorem tax on vacant seats. Both are collected by the departure~~ state and remitted in full to the EU. Confining the instruments to intra-EU flights is deliberate: it respects the international norm against unilateral extraterritorial taxation with revenue retention, thereby avoiding a repeat of the opposition provoked by the 2012 extension of the EU ETS to full scope, and preserving a norm that could underpin stable international financing of global public goods through future tax-coalition mechanisms with earmarking obligations.

The vacant-seat tax applies a single statutory rate to the spoilage value of a departure: the empty seats a flight leaves with, counted by cabin and valued at published route- and cabin-specific reference fares drawn from the previous year's realised fares. The flight-level data already exist to an audited standard, so fare reporting is the only genuinely new requirement.

The economic case rests on a spoilage distortion. Around 16% of EU seat-kilometres depart empty — closer to 20% when weighted by revenue, since premium cabins are emptier — and Dörpinghaus et al. (2026) show that market outcomes systematically over-produce vacancy relative to the social optimum, and that in the simplest model a vacant-seat tax can align airline incentives with welfare. Carrying the same passengers in fewer aircraft does involve a genuine welfare trade-off, since it raises the risk of early sell-outs that exclude high-valuation travelers; but airlines' incentives lead them to over-prioritize holding seats for late-booking, high-paying customers.

We present results for an efficiency-maximizing passenger-flow-preserving reform: it sets the vacant-seat tax at the level that delivers the efficient vacancy rate, then adjusts the additive VAT so that passenger numbers are unchanged. Because flows are fixed by construction, the reform places no burden on the tourism sector. Calibration gives a vacant-seat tax of 82.6% of spoilage value and a 3.7% additive VAT, cutting vacancy from 20.1% to 2.7% and flight frequency by 17.7%. Unusually for a tax reform, it raises €2.5bn while generating surplus rather than burden: €2.8bn in partial equilibrium, plus €1.8bn once resources released from aviation flow to sectors carrying pre-existing taxes and markups, with a further €0.3bn in oil terms-of-trade gains and €0.5bn in avoided climate damages accruing to the EU.

Having established that the efficiency-maximizing passenger-flow-preserving reform should be in the interest of all EU countries, we then consider a further reform that would raise the VAT rate beyond the modest 3.7% implied by it. Standard economic theory points to an optimal tax of 28%, against 8% in the status quo, hence an additive EU VAT of roughly 20%.

Finally, the €45bn base (interval €38–52bn) is assigned across member states and compared to GNI shares. Malta, Greece, Cyprus, Portugal and Spain are heavily over-exposed; Germany, Slovenia and Slovakia under-exposed. The wide spread implies that a standalone VAT increase would likely require compensation, which is why we suggest bundling it with the passenger-flow-preserving reform, whose net burden is negative.

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1 The proposals

We propose the following new EU-wide taxes as new EU own resources: 1) A VAT (additive to national VAT rates) on all intra-EU flights 2) A tax on vacant seats on intra-EU flights

Both proposed EU own resources are restricted to intra-EU flights, i.e. flights that both depart and land within the EU. This restriction reflects the value of respecting the existing international norm against unilateral extraterritorial taxation with revenue retention: it avoids the kind of opposition the EU faced when it extended the EU ETS to full scope in 2012, and it helps preserve a norm that could enable stable international mechanisms for funding global public goods through the earmarking of aviation tax revenue.

We propose that the entirety of the tax revenue be transmitted to the EU by the country of departure. Under Article 48, the base of an intra-EU flight is legally fractionated across every member state overflown, so no member state has a natural claim to the tax base of a border-crossing flight. This motivates a Union-level charge, analogous to the EU's customs-duty own resource.

1.1 An additive uniform VAT on intra-EU flights

We propose to implement a VAT on all intra-EU flights with a uniform rate as an EU own resource, with the entire revenue collected by the country of departure and transmitted to the EU. This VAT would be additive to whatever VAT rates member states impose themselves.

1.2 A tax on vacant seats

The instrument is an ad valorem charge on the spoilage value of a flight: the empty seats it departs with, valued at the fare that prevailed in the market for the relevant cabin on the route flown, averaged over the whole of the previous year.

For a flight stage f operated on route r define the spoilage value S_f as follows:

$$S_f = \sum_c (\bar{p}_{r,c} \cdot V_{f,c})$$

where $V_{f,c}$ is the number of vacant seats in cabin c on the stage, $\bar{p}_{r,c}$ is the reference fare — the average fare paid for carriage in cabin c on route r, taken across all carriers operating that route in a past reference period and published in advance.

The spoilage value is the tax base, to which a uniform rate τ is applied. Since τ is dimensionless, it can be read as an ad valorem rate.

The construction separates a quantity, measured at flight level, from a valuation, set at route level. The quantity is observed by the carrier on every departure and cannot be manipulated. The valuation is a market-wide statistic that the carrier does not influence and knows before making its capacity decision.

Vacant seats: the physical base

The vacant seats in a cabin on a flight stage are the passenger seats installed in that cabin of the aircraft as operated on that stage, less the number of persons occupying a seat in that cabin at departure, whether or not they paid a fare.

The base is disaggregated by cabin. Cabin means the physical travel class in which the seat is installed — economy, premium economy, business, first.

The valuation rule: route-level, cabin-differentiated reference fares

Each vacant seat is valued at the average fare paid for that cabin on that route, across all carriers serving it. Three properties of this rule matter.

A single statutory rate. τ is one number, uniform across routes, cabins and carriers. All heterogeneity — distance, market, seasonality, cabin — enters through the reference fare. The legal instrument fixes one parameter.

The valuation is exogenous to the carrier's own pricing. $\bar{p}_{r,c}$ is a market-wide average from the previous year.

Cabin differentiation. A vacant business seat is valued at the route's average business fare, a vacant economy seat at the route's average economy fare. Beyond proportionality, this is defensible on resource grounds: a long-haul business seat occupies two to three times the floor area of an economy seat, so flying it empty forgoes proportionally more of the aircraft's capacity. It is also necessary for accuracy, since premium cabins typically operate at lower occupancy than economy on the same aircraft; a blended valuation would systematically under-value spoilage where spoilage is highest.

This definition of the tax base is motivated by two considerations, one practical and one welfare-theoretic. Practically, it converts a physical count into a monetary base that is comparable across routes, cabins, distances and price levels, and that indexes automatically to inflation and fuel costs. In welfare terms, the results of Dörpinghaus et al. (2026) explained below suggest that the optimal cabin-specific taxation of vacant seats is close to proportional to cabin-specific spoilage value, which is exactly what the proposed base implements.

Constructing and governing the reference-fare schedule

Coverage. The reference fare for a cell is computed over all carriers operating the route in the reference period, weighted by passengers. It is a market statistic, not a carrier statistic; a given carrier's own fares influence it only through its market share.

Timing. The schedule is fixed for a calendar year, computed from realised fares over the twelve months prior to departure.

Fare basis. The reference fare is the total amount paid by the passenger for carriage on the stage, net of taxes and of government and airport charges collected on behalf of third parties, but inclusive of ancillary charges for seat selection, baggage and fare bundles. Excluding ancillaries would reintroduce the revenue-shifting margin at the schedule-construction stage. Including them is feasible here precisely because the schedule is a statistical exercise conducted once, centrally, rather than a per-flight compliance calculation.

Fare reporting. The European Union has no public route-level fare database comparable to the United States DB1B origin-and-destination survey. Constructing the schedule requires either a new reporting obligation on carriers covering passengers and passenger revenue by route, cabin and period — figures carriers already hold — or the procurement of commercial fare data.

Cabin definitions. "Business class" is not standardised across carriers or markets. The schedule requires a harmonised classification, defined by reference to the operator's declared cabin designation in its schedule filing, with an anti-abuse provision preventing reclassification undertaken principally to alter the applicable reference fare. If such a provision is judged difficult to make effective, the binary cabin classification used by the French solidarity levy on air travel could be adopted instead: *a seat falls in the additional-services category where a passenger carried in that seat would be entitled, without supplement, to on-board services that not all passengers on the flight can access without one.* This is determinate from the cabin configuration and the carrier's published product rules and requires no new taxonomy.

Measurement, reporting and verification

The quantity is already generated, to an audited standard, on every commercial flight. Mass-and-balance documentation prepared under EU air operations rules (Regulation (EU) No 965/2012) records the number of persons on board at departure; this figure is safety-critical, produced by the departure control system at door close, and retained by the operator. Installed seats by cabin are fixed by the certified cabin configuration recorded for the airframe.

The reporting obligation is therefore modest: for each in-scope stage, the operating carrier reports (i) installed passenger seats by cabin in the configuration flown, and (ii) persons occupying a seat by cabin at departure. Spoilage value and liability follow mechanically by applying the published schedule. Returns are filed monthly and verified against records the carrier is already required to hold. No new measurement is created at flight level; the only genuinely new data requirement is the revenue reporting needed to construct the schedule itself.

2 The economic case for the tax on vacant seats

At present, 16% of the seat-kilometres flown in the EU are empty. Weighted by revenue shares, the figure is closer to 20%, since business-class seats have a substantially higher vacancy rate. This raises the question of whether such an allocation of resources is efficient.

It is useful to distinguish two logical possibilities: the cause of vacancy may be either "deterministic" or "stochastic". By deterministic we mean that at some point early in a flight's sales horizon it becomes certain that the flight will not sell out. Widespread deterministic vacancy may seem implausible — why would airlines not simply operate smaller aircraft? — yet it does arise in periods when passenger flows between two places are structurally asymmetric.

If tax policy could be targeted specifically at deterministic vacancy, the prescription would be straightforward: absent scarcity, seats should be priced at marginal cost, that is, at close to zero. A tax on vacant seats raises utilisation at close to marginal cost and therefore raises social welfare, at least up to the point where the flight again has a chance of selling out, or where prices have fallen to marginal cost.

Now consider the case where vacancy is stochastic, so that seats remain empty only when demand happens to turn out low. Here taxing vacant seats involves a genuine trade-off. On the one hand, more people take the flight. On the other, early sell-outs become more likely, so that travelers with very high valuations may be unable to board.

For the purpose of analyzing the passenger-flow-preserving tax reforms (see next section), the trade-off can be phrased as follows: taxing vacant seats and adjusting the VAT accordingly allows the same number of people to be carried in fewer aircraft, which saves resources; but it also makes it more likely that flights sell out before departure, leaving travelers with a very high willingness to pay without a ticket.

Dörpinghaus et al. (2026) show that there is a systematic "spoilage distortion": absent corrective taxation, market outcomes involve a vacancy rate that is excessive from a social welfare perspective. They also show that, in the simplest model and for a broad range of travel demand specifications, a tax on vacant seats can perfectly align a private airline's incentives with social welfare. These results provide the initial motivation for the instrument. The next section provides quantitative estimates of the welfare gains that could be reaped, using the full-fledged model introduced in the second part of the same paper.

3 Passenger-flow-preserving tax reforms

We propose the following tax reform, which we will argue is robustly beneficial:

Definition 1 *The efficiency-maximizing passenger-flow-preserving tax reform consists of introducing the two proposed tax instruments, i.e.:*

1) A uniform additive[1] *intra-EU VAT.*

2) A tax on vacant seats, as defined above, i.e. with a uniform ad valorem rate applied to the spoilage value of empty seats.

The reform sets the tax on vacant seats at the level that achieves the socially efficient vacancy rate, and adjusts the VAT so that the number of passengers carried remains unchanged relative to the status quo.

3.1 Evaluating passenger-flow-preserving tax reforms

We now report results for the efficiency-maximizing passenger-flow-preserving tax reform, computed with the partial equilibrium model developed in Dörpinghaus et al. (2026) and combined with the welfare-accounting adjustment derived in Stern (2026), which captures the pre-existing taxes and markups on other goods in the economy. The calibrated model yields the following results for the efficiency-maximizing passenger-flow-preserving[2] reform, which we explain below:

The findings are striking. The reform collects 2.5 € billion in additional revenue from the aviation sector, yet instead of creating an economic burden of the same order — as tax reforms typically do — it generates an economic surplus of 4.6 € billion. This result is obtained in two steps. The first computes the economic surplus of the reform in the partial equilibrium model of Dörpinghaus et al. (2026), which comes out at 2.8 € billion; this qualitatively confirms the intuitive appeal of the proposal, namely that it saves resources without reducing passenger flows. The second step accounts, using a simple result from Stern (2026), for an effect that the partial equilibrium analysis misses: the resources saved in aviation are redirected to other sectors, which carry pre-existing commodity taxes and markups and therefore generate additional profits and tax revenue. This adds 1.8 € billion in welfare gains, of which 0.75 € billion takes the form of consumption tax revenue and 0.25 € billion that of corporate income tax revenue. The EU further reaps 0.3 € billion in terms-of-trade benefits (based on Beaufils et al. (2025)) and, assuming that its share of the social

[1] i.e. additive to other taxes

[2] The model disregards distributional questions in order to focus on efficiency. Taking distributional effects into account would typically strengthen the case for taxing vacant seats.

Table 1: Policy Parameters and Summary of Impacts for the efficiency-maximizing passenger-flow-preserving tax reform applied to all intra-EU flights

Policy Parameters	
Tax on vacant seats	82.6% of spoilage value
Additive EU-wide VAT rate[a]	3.7%
Flight frequency reduction	17.7%
Impacts and Outcomes[b]	
Vacancy rate (from 20.1%)	2.7%
Emissions reduction (excl. leakage)[c]	$\approx$ 8.0 $MtCO_2$
Emissions reduction (incl. leakage)[c]	$\approx$ 1.76 $MtCO_2$
Aviation tax revenue increase	+2.5 € billion
Economic surplus change (excl. climate damages)	+2.8 € billion
incl. cross-sector wedge correction[d]	+4.6 € billion
Global Climate Damages Avoided[c]	
Avoided climate damages from CO2 (SCC 180 €/t)	1.5 € billion / year
Avoided climate damages incl. non-CO_2 forcing (SCC 290 €/t)	2.3 € billion / year
Terms of trade effects from reduced oil demand[c]	
Savings for the EU's oil import bill	300 € million / year
Reduction in oil revenue for Russia	203 € million / year
Cross-Sector Fiscal Spillovers[d]	
Additional consumption-tax revenue (11.5%)	0.75 € billion
Additional corporate tax on markups (26% × 14.5%)	0.25 € billion

Notes: Results are for the passenger-flow-neutral policy package. [d] Applies the pre-existing wedge of $1.115 \times 1.145 - 1 = 0.28$ in the rest of the economy to the resource savings released by the 17.7% reduction in flight frequency (EUR 6.5 billion).

cost of carbon equals its share of world GDP, 0.5 € billion in avoided climate damages. Overall, the EU obtains 5.4 € billion in economic surplus from 2.5 € billion in additional revenue.

Incidence

In general, aviation tax reforms raise the difficult question of how the incidence is split between the travelers and the hospitality sector. Conceptually, the split is determined by the relative elasticities of the demand for flights and the supply of hospitality services (Black et al., 2024). These elasticities are difficult to estimate, however, and no published study appears to offer confident values. Fortunately, discussing the incidence of the passenger-flow-preserving reforms requires no stance on these questions.

Indeed, an attractive feature of the passenger-flow-preserving reforms is that, by design, they place no burden on the hospitality sector — hotels, restaurants and other providers of goods and services to travelers. The impact on travelers, through changes in prices, in flight availability and in flight frequency, is well captured by the model of Dörpinghaus et al. (2026) and is therefore already reflected in the estimates above.

Taken together, our results imply that all EU countries should find it in their interest to vote in favor of the efficiency-maximizing passenger-flow-preserving tax reform.

4 The economic case for the additive uniform VAT on intra-EU flights

So far we have focused on passenger-flow-preserving reforms. We now consider an additional reform: raising the EU-wide additive uniform VAT beyond the modest rate implied by the efficiency-maximizing passenger-flow-preserving reform.

The basic case for such an additional tax reform is that aviation is undertaxed relative to other consumption goods. A broad class of economic models implies that optimal taxation requires the equalisation of "wedges" across all consumption goods (Atkinson and Stiglitz, 1976; Epifani and Gancia, 2011). The wedge denotes the proportion by which the consumer price exceeds the marginal cost of the good, so that by definition $1 + \text{wedge} = (1 + \text{tax})(1 + \text{markup})$, where the markup is the proportion by which firms set price above marginal cost.

This result yields a simple heuristic for identifying efficiency-increasing reforms when a single sector such as aviation is considered in isolation: set the tax rate so that the sector's wedge equals the appropriately weighted average of the wedges in the rest of the economy. In the EU, the average markup on non-aviation consumer goods and services is 11.5% and the average tax rate 14.5%. Air travel is special in that markups can be taken to be zero, given the ease of entry on any route. These numbers imply that a tax on flights of $(1+0.115)(1+0.145)-1 = 0.28$, i.e. 28% of the ticket price, would be optimal. Against a status quo average intra-EU ad valorem rate of 8% from ticket taxes and domestic VATs, this suggests that an additive EU-wide VAT of 20% would be optimal from the EU's perspective — before allowing for the possibility that externalities and terms-of-trade effects are themselves undertaxed.

Optimal taxation theory also holds that intermediate inputs to production should be exempt from tax (Diamond and Mirrlees, 1971), exactly as a VAT ensures. This provides an efficiency rationale for replacing existing ticket taxes with a VAT.

Standard economic theory therefore suggests that, in addition to the roughly 4% EU-wide additive VAT that forms part of the efficiency-maximizing passenger-flow-preserving reform, two further reforms would increase efficiency: 1) replacing the ticket taxes by an ad valorem equivalent increase in VAT, and 2) raising the VAT by a further 16 percentage points.

5 Incidence of the VAT

For the passenger-flow-preserving reforms that are the core proposal of this annex, we saw that the incidence analysis is greatly simplified. For the further increase in the additive EU-wide VAT on intra-EU flights, by contrast, computing how the incidence is distributed between tourism service suppliers and travelers would require calibrating a model with endogenous tourism supply. Such a rigorous economic incidence analysis at the country level is beyond the scope of this report The next subsection nonetheless estimates the shares of the tax base attributable to each member state, which serves as a rough proxy for the shares of the incidence borne by them. The previous section's analysis also indicates the cost of raising public funds through this VAT: at an additive rate of 20% the marginal cost of public funds is 1, and it is lower at lower rates[3].

5.1 VAT tax base estimates by EU member states

Suppose we take the assigned tax base as a proxy for the economic burden of the tax, and suppose that the new own resource displaces GNI-based contributions one for one. The ratio of a country's share of tax revenue to its share of GNI is then an indicator of whether it is disproportionately burdened. For example[4], if the average cost of raising a EUR via the VAT on flights is 0.9 then a country is better off without this new own resource as long as its ratio of the share of the tax base to the share of the GNI exceeds $1/0.9 = 1.11$. That several countries have a ratio greatly exceeding 1 suggests that reaching unanimity might require a compensation scheme if a VAT increase were put forward as a standalone proposal for an EU own resource. Alternatively, the efficiency-maximizing passenger-flow-preserving reform described above could be bundled with a further VAT increase and proposed as a package of new own resources. Given our finding that the former reform carries a negative net burden, this path deserves exploration. The results provided in this report provide a basis on which one could analyze how far this approach could go.

[3]This proxy likely overestimates the true burden substantially, given that a part of the incidence actually falls on non-EU travelers and the non-EU hospitality sector. Again, due to data limitations, quantifying this effect is beyond the scope of this report.

[4]After the efficiency-maximizing passenger-flow-preserving reform, we found there to be an under-taxation by 20%. Under the perspective of Jacobs (2018), this implies a marginal cost of public funds of 0.9 if one assumes a price elasticity of demand of -0.6 and an infinite price elasticity of supply.

Table 2: Assignment of the intra-EU aviation VAT tax base to member states, 2024

					Revenue relative to GNI (bp)	
Member state	Tax base (EUR bn)	Share of base (%)	Share of EU GNI (%)	Ratio	Passenger-flow-preserving Reform (EUR 2.5bn)	Additional VAT of 20% (EUR 8bn)
Malta	0.27	0.61	0.11	5.60	7.59	24.29
Greece	2.54	5.64	1.30	4.34	5.88	18.82
Cyprus	0.29	0.64	0.16	3.90	5.29	16.92
Portugal	1.95	4.33	1.55	2.80	3.80	12.14
Spain	9.33	20.74	8.68	2.39	3.24	10.37
Croatia	0.38	0.84	0.48	1.76	2.39	7.63
Latvia	0.18	0.40	0.24	1.67	2.26	7.24
Luxembourg	0.21	0.46	0.31	1.48	2.01	6.42
Italy	7.11	15.81	12.06	1.31	1.78	5.68
Denmark	1.13	2.50	2.27	1.10	1.49	4.77
Bulgaria	0.27	0.60	0.55	1.09	1.48	4.73
Finland	0.72	1.59	1.60	1.00	1.36	4.34
Estonia	0.09	0.22	0.22	0.96	1.30	4.16
Ireland	0.94	2.10	2.33	0.90	1.22	3.90
Austria	1.09	2.43	2.81	0.86	1.17	3.73
Sweden	1.16	2.58	3.23	0.80	1.08	3.47
Lithuania	0.14	0.31	0.42	0.74	1.00	3.21
Netherlands	1.98	4.40	6.06	0.73	0.99	3.17
France	5.38	11.96	16.61	0.72	0.98	3.12
Belgium	1.10	2.45	3.46	0.71	0.96	3.08
Hungary	0.37	0.82	1.18	0.70	0.95	3.04
Romania	0.62	1.37	2.03	0.68	0.92	2.95
Czechia	0.44	0.98	1.68	0.58	0.79	2.52
Poland	1.19	2.65	4.77	0.56	0.76	2.43
Germany	6.04	13.43	24.81	0.54	0.73	2.34
Slovenia	0.03	0.06	0.38	0.16	0.22	0.69
Slovakia	0.05	0.10	0.73	0.14	0.19	0.61
EU27	45.00	100.00	100.00	1.00	1.36	4.34

Notes: The tax base is pre-tax consumer spending (fares plus ancillary revenue, net of existing ticket taxes and VAT, gross of airport, security and air navigation charges) on scheduled passenger flights with both endpoints in the EU27, including domestic flights, less the share attributable to business travel on the grounds that VAT-registered businesses reclaim input VAT. The aggregate base is EUR 45bn, with an estimation interval of EUR 38–52bn. Domestic flights are assigned in full to the member state concerned; cross-border intra-EU flights are assigned half to the departure country and half to the arrival country. Passenger volumes are from Eurostat (`avia_paoc`, 2024), for which the national and intra-EU aggregates are constructed from departure declarations only and are therefore a census of one-way passenger legs; revenue per passenger and the business-travel share are estimated and carry essentially all of the uncertainty. GNI shares are the own-resources key agreed by the Advisory Committee on Own Resources and reproduced in the Statement of Revenue of the Draft Budget 2025. The ratio is the share of the assigned tax base divided by the share of EU GNI, computed from unrounded shares. Member states are ordered by that ratio.
The final two columns give revenue collected in each member state as a proportion of that member state's GNI, in basis points (1bp = 0.01% of GNI); divide by 100 to read as a percentage. Column 6 is the revenue collected from the passenger-flow-preserving reform, EUR 2.5bn distributed in proportion to the assigned tax base; column 7 is the revenue collected additionally from a further additive VAT increase of 20 percentage points, EUR 8bn distributed on the same key. GNI levels are taken from Table 4 of the Statement of Revenue of the Draft Budget 2025, for which the EU27 GNI base is EUR 18,445bn.

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A One-Off Moderate Wealth Tax

Adrien Fabre

While the EU looks for new own resources to repay the debt contracted during Covid, this appendix argues that wealth taxation can work if designed well. The proposal deliberately avoids the pitfalls that have historically undermined recurrent wealth taxes. It is a *one-off* levy, assessed on the net wealth each resident holds on a single past reference date (1 January 2027), and paid over thirty years at low annual rates. In the Central scenario, yearly marginal rates are 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. We also present an alternative scenario where the tax only applies above EUR 100 million.

Because the base is fixed in the past, the levy is a lump sum in the economic sense: no decision taken after 2026, whether to invest, to found a company or to emigrate, can change what is owed, so the tax does not distort future accumulation and activity. The low annual rates keep the tax non-confiscatory and comfortably within constitutional bounds. Liquidity is addressed head-on: payment is reduced if a taxpayer's wealth drops and the taxpayer may pay in company shares. Finally, a Deferral Account secures the claim against emigration and death.

Built this way, the tax would raise about EUR 26 billion a year, close to EUR 790 billion (that is 4.5% of EU GDP) over the thirty-year horizon. The proposal adopts the low-rate one-off logic of Pisani-Ferry and Mahfouz (2023), who recommended an exceptional levy of 5% of GDP spread over thirty years to finance the climate transition. Besides, it adapts the deferral and one-off mechanisms designed for the Californian wealth-tax bill (California State Legislature, 2023).

The instrument rests on solid economic foundations. Farhi (2010) shows that a one-off capital levy is the efficient response to a negative fiscal shock, precisely the case created by the pandemic-era debt, the security build-up and the financing of the transition. Progressive wealth taxation is independently justified on distributive grounds: Saez and Zucman (2019) argue that it is the most appropriate tool for restoring progressivity at the very top, since the ultra-wealthy report little taxable income.

The tax revenue could simply be paid into the EU budget as an own resource, or used to repay the common debt, and we show that it works well on those terms. Alternatively to this default revenue use, we also argue for another strategic use. Rather than shrink the Union's balance sheet by repaying the debt, the proceeds could endow a European sovereign fund, at a time when major investments are needed for the ecological transition and for competitiveness.

The combination of low annual rates, deferral, payment in kind and asset-backed recovery is what makes the tax simultaneously enforceable, non-distortive and respectful of taxpayers' liquidity constraints and asset control. We believe such a tax can actually be adopted. It does not interact with the taxes Member States already levy; it raises real revenue; it is constitutional in every EU jurisdiction; it rests on solid economic and democratic foundations; and it is increasingly on the political agenda.

The remainder covers the proposal (Section 1), revenue estimates (2), the case that the tax can fly (6), responses to objections (4), the sovereign-fund option (5) and variants (6).

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1 Proposal

1.1 A one-off tax, payable over thirty years

We propose a one-off tax on individual net wealth, assessed on the wealth each resident holds on 1 January 2027.[1] The tax is strictly individual: wealth is attributed to natural persons, with couples assessed on their respective shares, so as to avoid the marriage penalties and avoidance opportunities associated with household-level assessment.

The headline schedule is a one-off liability levied at the following marginal rates: 3% on the fraction of individual wealth between EUR 1 and 10 million, 9% on the fraction between EUR 10 and 100 million, and 15% on wealth above EUR 100 million. This liability is not due immediately. It is spread over thirty years, so that in any given year the taxpayer owes one thirtieth of the total: the annual tax schedule is 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. These annual rates are deliberately calibrated well below the return on capital, so that the tax can in principle be paid out of the income the wealth generates, leaving the principal intact.

The one-off character is the central design choice. A permanent wealth tax changes the incentive to accumulate, to invest and to remain resident on an ongoing basis; the empirical literature finds that such taxes can generate behavioural responses, from portfolio reshuffling to migration (Brülhart et al., 2022; Durán-Cabré et al., 2019). A one-off tax assessed on a past reference date is, by construction, a lump-sum tax: it does not distort decisions taken after the reference date, because no future choice can change the liability. This is the classical efficiency argument for capital levies, and it is the reason Pisani-Ferry and Mahfouz (2023) and the Californian bill favoured an exceptional rather than a recurrent instrument.

1.2 Payment, deferral and the annual minimum

Each year, the taxpayer must pay the *smaller* of two amounts: (i) one thirtieth of their initial liability, indexed to inflation and increased by a deferral charge; or (ii) the annual schedule (0.1% / 0.3% / 0.5%) applied to their *current* wealth. The second option protects taxpayers whose wealth has fallen: someone who has become poorer since 2027 pays less, in line with their ability to pay. The tax ceases to be owed after thirty years of payment, or earlier if the taxpayer settles their remaining liability in full.

The deferral charge is set at a level that makes postponing payment equivalent for the taxpayer to paying upfront. Hence, the deferral charge reflects the return the taxpayer earns on their wealth. We set it at 3% per year for the tax due for wealth below EUR 10 million, 5% between EUR 10 million and 100 million, and 7% above EUR 100 million. These figures are aligned with the empirically documented increasing returns to wealth: larger portfolios earn systematically higher average returns (Chancel et al., 2022). Aligning the charge with the return on capital ensures that deferral is neither confiscatory nor a subsidy to the wealthy, and removes the incentive to game the timing

[1] It is important to choose an evaluation date anterior to the announcement of the reform, so that taxpayers do not have the time to relocate (note however that preemptive relocation for tax avoidance purposes does not lift the tax liability but may induce costly and uncertain litigation with the tax authorities, cf. Article 29 of OECD, 2017). Retroactivity is permitted in tax design provided it is justified and the date is not too distant in the past. The Californian bill uses a similar approach, with a date ten months before the referendum but two months after the announcement, which still allowed some billionaires to relocate.

of payments.[2] This system allows smoothing the wealth transfer over thirty years.

1.3 Payment in kind

Liquidity constraint is the objection most often raised against wealth taxes: a taxpayer may be rich on paper yet hold most of their wealth in illiquid form, such as a stake in an unlisted company, real estate or an art collection, that generates little cash, so that a tax payable in cash could force them to sell assets, sometimes at a discount.

The proposal neutralises it through a graduated set of payment options. First, the administration accepts payment in non-cash liquid assets, in particular shares in listed companies, valued at market price on the day of transfer. A taxpayer whose wealth consists mainly of a quoted equity stake can therefore discharge the tax without selling on the market and without any cash outlay. Second, on a case-by-case basis, the administration may accept payment in illiquid assets, such as shares in non-listed companies, to the extent that the taxpayer's liability exceeds their liquid assets. These in-kind payments mirror the logic of the Californian bill, which allowed liquidity-constrained taxpayers holding designated highly illiquid assets (typically start-up equity) to attach a claim to those assets rather than face an immediate cash assessment (California State Legislature, 2023). In-kind payments already exist under some circumstances: for example, countries such as France, Germany, the UK, Spain, Italy, or the Netherlands all accept non-monetary assets such as artworks to pay the inheritance tax.

Payment in shares has an important corollary for the objection that a wealth tax penalises young, capital-intensive firms relative to established ones. Because the founder of a start-up can hand over a fraction of their shares rather than cash, the tax does not force the sale of the company and it does not require the firm to distribute dividends it cannot afford. To guarantee that taxpayers keep control over their companies, the administration may accept payment in non-voting shares in cases where the tax would make their stake cross the 50% majority threshold (say from 50.1% to 49.8%).

1.4 Deferral Accounts

The system of Deferral Accounts is directly adapted from the Californian wealth tax proposal (California State Legislature, 2023). Unless they settle their entire liability in the first year, taxpayers must open a Deferral Account (DA): a mortgage with the State to which they attach assets of sufficient value to cover the tax liability. The DA has two functions. It secures the State's claim: the outstanding liability is recovered when the taxpayer dies or moves their tax residence outside the EU, whichever comes first, and the account is closed only once the tax has been paid in full. It supports the payment-in-kind mechanism, since attached assets can be transferred to the tax authority to discharge the liability.

A missing payment triggers a penalty equal to inflation plus 10% per year on the overdue amount. This penalty accrues within the DA and is ultimately recovered when the attached assets are sold or

[2]Take the example of a taxpayer with a wealth of EUR 10 million in 2027, and assume they have 3% returns on their wealth and that there is no inflation. The taxpayer's initial tax liability is $3\% \cdot (10-1) = 0.27$M€. In 2027, if the taxpayer has only paid their annual tax minimum in 2027 (one thirtieth of 270k€, that is 9,000€) and not the full tax liability, the taxpayer's expected wealth is $(10,000,000 - 9,000) \cdot (1+3\%) = 10,290,730$€. Their 2027 tax liability is their initial tax liability inflated by the deferral charge minus what they already paid, that is $(270,000 - 9,000) \cdot (1+3\%) = 268,830$k€. Their 2027 wealth minus their remaining liability $(10,290,730 - 268,830 = 10,021,900$€) exactly corresponds to the expected wealth following payment of the full liability in 2027: $(10,000,000 - 270,000) \cdot (1+3\%)$. Therefore, with a real return of 3%, the taxpayer is indifferent between paying the entire liability upfront or spreading the tax payment over thirty years.

generate dividends, so that non-payment is costly but never forces an immediate ownership transfer. The combination of low annual rates, deferral, payment in kind and asset-backed recovery is what makes the tax simultaneously enforceable, non-distortive and respectful of taxpayers' liquidity constraints and asset control.

2 Revenue estimates

2.1 Method and assumptions

Revenue is estimated by microsimulation on the 2023 wealth distributions of the World Inequality Database (WID).[3] Two successive haircuts are applied to the base throughout: 15% for asset-price depreciation and a further 15% for evasion and valuation discounts.

Table 3's revenue figures are those of the proposed tax's three marginal bands. Column a is the 0.1% levied on the slice of wealth between EUR 1 and 10 million; column b the 0.3% on the slice between EUR 10 and 100 million; and column c the 0.5% on all wealth above EUR 100 million. The central scenario is the sum of these three bands, $a+b+c$ (also shown as a share of 2023 GDP). Column d reports a separate band that does not belong to the central schedule: a 2% rate on wealth above EUR 1 billion, used only to illustrate a top-heavy variant that would use 2% as the marginal rate on billionaire wealth, so that the top-heavy figure is $c+\frac{3}{4}d$. All figures are in EUR million per year.

2.2 Results

The central scenario, which combines the three low brackets, raises about EUR 26 billion per year for the EU, or close to EUR 790 billion over the thirty-year horizon. This represents 4.5% of EU GDP, in the range of the 5%-of-GDP benchmark independently proposed by Pisani-Ferry and Mahfouz (2023) to finance the energy transition, and about twice the EU's common (NextGenerationEU) debt. As an own resource, the proceeds would relieve the GNI-based contributions Member States pay into the EU budget.

These estimates are deliberately conservative for two reasons. They cut the base by two successive 15% haircuts, both generous. The 15% allowance for evasion and valuation discounts sits well above the leakage a well-enforced one-off levy should suffer: Seim (2017) finds that the taxable base contracts by at most 1% in the short run, and Advani and Tarrant (2021) put the medium-run figure at less than 10% for a 0.5% wealth tax. The 15% allowance for depreciation is also cautious, and compounded by our use of 2023 wealth data. Indeed, the tax would be assessed on wealth held on 1 January 2027:[4] since asset prices have risen since 2023, the true 2027 base, and hence the revenue, would be larger.

[3] For most Member States, we use the tabulation that underlies the WID Wealth Tax Simulator, which reports, for a grid of euro thresholds, the total net wealth and the number of adults above each threshold. This dataset is the most adequate source for two reasons: its grid already includes the statutory cut-offs (EUR 1, 10, 100 million and 1 billion), so each bracket's base can be read off directly; and it smooths the top tail, so it resolves the extreme fortunes on which the upper brackets depend. The eleven smaller Member States that the simulator omits are completed from the raw WID distributional-national-accounts data, which report the average wealth within each of 127 population brackets, up to the top 0.001%. Applying the schedule to those bracket averages reproduces the lower brackets well but resolves the very top less finely. Because these states are small (their combined contribution is about EUR 0.6 billion), this has no material effect on the EU total.

[4] Germany prohibits retroactivity (*echte Rückwirkung*), so the assessment date should not precede announcement.

Table 3: Estimated revenue of a one-off wealth tax in the first year, by EU Member State (EUR million per year) The GDP column reports annual central revenue as a share of GDP.

Country	a 0.1% on 1–10M	b 0.3% on 10–100M	c 0.5% >100M	Central $(a+b+c)$	Central % GDP	d 2% >1 bn	Top $(c+\frac{3}{4}d)$
Germany	3,050	2,702	2,592	8,344	0.20%	4,963	6,315
France	1,994	1,378	3,298	6,670	0.24%	8,812	9,907
Italy	1,177	448	994	2,618	0.13%	1,327	1,989
Spain	851	434	866	2,151	0.14%	1,409	1,923
Austria	296	287	337	920	0.19%	841	967
Netherlands	585	109	220	913	0.09%	182	356
Belgium	500	37	186	722	0.12%	527	581
Sweden	260	140	312	712	0.14%	829	934
Poland	169	196	196	560	0.08%	170	323
Denmark	199	145	188	533	0.14%	441	519
Czechia	74	44	230	348	0.11%	489	597
Ireland	247	14	70	331	0.06%	69	122
Portugal	187	109	35	330	0.12%	48	70
Luxembourg	56	37	115	208	0.25%	305	343
Hungary	53	62	93	208	0.10%	8	99
Finland	58	12	82	152	0.05%	84	145
Romania	39	37	46	121	0.03%	20	61
Greece	64	17	36	118	0.05%	0	36
Slovenia	18	18	38	75	0.11%	0	38
Cyprus	11	2	33	46	0.14%	0	33
Bulgaria	13	14	13	40	0.04%	0	13
Croatia	18	12	6	36	0.05%	0	6
Lithuania	14	10	7	31	0.04%	0	7
Estonia	14	9	6	29	0.08%	0	6
Latvia	9	8	3	20	0.05%	0	3
Slovakia	12	7	0	19	0.02%	0	0
Malta	9	0	0	9	0.04%	0	0
EU-27 total	**9,978**	**6,287**	**10,000**	**26,264**	**0.15%**	**20,525**	**25,394**

3 Why this wealth tax can fly

Having shown that a one-off wealth tax, correctly designed, raises interesting amounts, we now set out why we believe it can actually be adopted. The EU level is more suited than the national one; it does not interact with the taxes Member States already levy; it raises real revenue; it is constitutional in every EU jurisdiction; it rests on solid economic and democratic foundations; and it is increasingly on the political agenda.

3.1 Suitability of the EU level

A one-off wealth tax is more efficient levied by the Union than by Member States acting separately. Two arguments support this. First, EU law makes it hard for a Member State to secure its tax base against a taxpayer who leaves for another Member State, while the single market makes leaving nearly costless. Second, it is ill-suited to treat a billionaire's fortune as belonging to the country where its owner happens to reside, since that fortune is generated by the worldwide activities of the firms they own.

The instrument a State would use to secure a wealth-tax claim against emigration is an exit tax. Between two Member States, that instrument is tightly constrained by the fundamental freedoms, and the case law has narrowed it steadily. In *de Lasteyrie du Saillant* (CJEU, 2004) the EU Court of Justice struck down the French exit tax on latent gains as a restriction on the freedom of establishment, and held disproportionate the conditioning of deferral on the provision of guarantees or the appointment of a tax representative; the CJEU (2006) later confirmed that deferral must be granted without security. In *Commission vs. Portugal* (CJEU, 2016) the Court applied the same reasoning to individuals transferring their residence, finding an unjustified restriction on the free movement of persons and on the freedom of establishment. Germany, which in 2022 replaced its open-ended interest-free deferral for departures within the EU and EEA by a seven-year instalment scheme, is widely thought to have fallen on the wrong side of that line, and the question is now before the Court on a Polish reference (CJEU, 2025).

Once the taxpayer has gone, collection depends on the assistance of the new State of residence under the mutual recovery directive (Council of the European Union, 2010), whose enforcement record is modest.

Departure, meanwhile, is nearly frictionless. Free movement of persons and of capital means that residence and portfolios can be shifted between Member States without exchange controls or administrative hurdles, and several Member States actively bid for wealthy newcomers: Italy offers new residents a substitutive flat charge on all foreign-source income (raised from EUR 100,000 to EUR 200,000 a year in 2024) and Greece a comparable EUR 100,000 lump sum for up to fifteen years. A Member State levying our tax alone would face both this competition and the legal challenges of charging those who respond to it.

Levying the tax at Union level dissolves the problem. Moving from one Member State to another changes nothing: there is no exit, and therefore no restriction to justify. Only departure from the Union crystallises the Deferral Account (Section 4), and there the constraints are far weaker: the freedom of establishment and the free movement of persons do not extend to third countries. The border that has to be policed is the Union's, which far fewer people cross, and which the Union itself is competent to police.

The second argument is one of principle. The fortunes this levy reaches consist overwhelmingly of stakes in companies whose value is produced across the single market and beyond it. Those firms owe their profits and their valuations to the size of the markets they serve, to free capital movement and to the cross-border enforcement of property rights, all of them Union-wide public goods rather than national ones (Zucman, 2024). Attributing the whole of such a fortune to the tax jurisdiction where its owner sleeps is therefore arbitrary, and doubly so once holding structures are taken into account: it hands windfalls to the small Member States that host them and nothing to the countries where the value was actually created. If the base is European in origin, the natural claimant is the European budget.

3.2 Additionality from existing taxes

The proposed levy would be *additional* to, not a substitute for, the taxes Member States already apply to wealth. Within the EU only Spain still operates a comprehensive recurrent net-wealth tax, and the low rates proposed here pose no problem to make the tax additional in Spain. The few other national instruments are narrow. Crucially, all of them share a feature that the present proposal deliberately avoids: they largely spare the business assets that make up the bulk of very large fortunes, so the overlap with our levy is small.

Spain is the leading case. Its recurrent wealth tax is regionally administered, and several regions (notably Madrid and Andalusia) had granted 100% relief until the central government introduced, in 2022, a Solidarity Tax on Large Fortunes (ITSGF) to reclaim that base, with marginal rates of 1.7% above EUR 3 million up to 3.5% above 11 million. Yet the Spanish tax exempts business assets: shares held by owner-managers who hold a qualifying stake, play a managerial role and draw most of their income from the firm are relieved, and the primary residence is partly exempt. On top of this, a cap limits the combined income-and-wealth-tax bill to 60% of taxable income; but the resulting relief may not exceed 80% of the wealth-tax liability, so that at least 20% of it is always due (Article 31 of Law 19/1991). In practice this floor caps the effective wealth-tax rate of the asset-rich but income-poor at one fifth of the statutory rate, about 0.7% rather than the headline 3.5%. Together these carve-outs and caps let the very wealthiest largely escape the tax, and avoidance responses to it are well documented (Directorate-General for Taxation and Customs Union (European Commission), 2026).

France abolished its general wealth tax (ISF) in 2018 and replaced it with a narrow tax on real-estate wealth (IFI), at 0.5%–1.5% on net property above EUR 1.3 million, leaving financial and business wealth untaxed.

The Netherlands has no more net-wealth tax: its "Box 3" regime taxed a notional return on savings and investments within the income tax, an approach the Supreme Court struck down in 2021 and again in 2024 (Section 3.4). From 2027 it is to be replaced by the Box 3 Actual Return Act, which taxes the *real* return on wealth: an annual mark-to-market (accrual) tax on the change in value of most assets and debts, combined with a realisation-based capital-gains tax on real estate and on shares in start-ups. This remains a tax on the return to wealth, not on the wealth stock itself, and so leaves the base our levy targets untouched.

Belgium levies a 0.15% annual tax on securities accounts worth at least EUR 1 million, a narrow charge that reaches listed portfolios but not directly held business stakes.

The proposed levy is therefore complementary rather than duplicative. Because it is one-off, values assets at market and grants *no* business-asset exemption, it falls, for very-high-net-worth individuals, precisely on the unlisted-company and financial holdings that the national taxes spare, while adding only 0.1% per year at the bottom of the schedule (above EUR 1 million). Where a taxpayer is simultaneously liable to a national recurrent wealth tax (the Spanish solidarity tax or the French IFI), the proposal treats them as cumulative, since even in the most heavily taxed cases the combined annual burden stays below the return on capital and therefore within the bounds courts have treated as non-confiscatory (Section 3.4).

3.3 Revenue raising

At about EUR 26 billion a year (Section 2), the central scenario raises as much as, or more than, the old national wealth taxes did, despite markedly lower rates, because it corrects their design defects (Section 4). As a genuine own resource, it would reduce the GNI-based contributions Member States pay into the EU budget. This is the property the Council is looking for in a new own resource: a base that is concentrated and additional to what Member States already tax.

3.4 Constitutionality

Wealth taxation is not unconstitutional as such in any EU jurisdiction. The concern that can make a wealth tax fall foul of a constitution is that it becomes confiscatory, taking so large a share of asset returns that it amounts to an expropriation rather than a tax. Low rates dispose of that concern: an annual charge of at most 0.5% of wealth, only a fraction of the normal return on capital, leaves the principal intact and stays far from any confiscation threshold. The history of national wealth taxes, reviewed below, confirms that they were struck down or abandoned for specific, avoidable defects, unequal valuation, taxation of a fictitious return, or genuinely confiscatory rates, and never because taxing wealth is inherently impermissible.

Germany. The Federal Constitutional Court suspended the wealth tax in its 1995 decision (2 BvL 37/91) not because wealth taxation is inherently unconstitutional, but because real estate was valued far below market while financial assets were valued at market, violating the equality principle of the Basic Law (Bundesverfassungsgericht, 1995). The same decision advanced the *Halbteilungsgrundsatz*: the legal principle that wealth and income tax combined should not take away more than roughly half of the potential return of the taxed assets. Two points defuse this. First, the Court itself, in a later ruling, held the *Halbteilungsgrundsatz* not to be legally binding (Directorate-General for Taxation and Customs Union (European Commission), 2026). Second, the proposed tax would satisfy it in any case: an annual charge of at most 0.5% of wealth is only a small fraction, of the order of a tenth of the normal return on capital, so that even added to income tax the combined burden stays far below half of that return. A uniformly market-valued, low-rate one-off tax thus avoids both defects that felled the German tax.

Spain. The Constitutional Court *upheld* the central solidarity wealth tax in December 2023 against challenges from several regions, confirming that a wealth tax is compatible with the Spanish constitution (Tribunal Constitucional de España, 2023).

The Netherlands. The Netherlands abolished its genuine net-wealth tax in 2001 for practical, not legal, reasons: the old tax was widely avoided or evaded and raised little. The wealth tax was folded into the income tax as "Box 3", which taxes a *notional* (assumed) return rather than actual wealth or actual income, a design chosen for administrative simplicity, not because taxing wealth was thought unconstitutional. It is precisely the taxation of a *fictitious* return that the Supreme Court struck down, in the 2021 "Christmas Judgment" and again in 2024, as an infringement of the right to property and the prohibition of discrimination under the European Convention on Human Rights (Hoge Raad der Nederlanden, 2021). The Netherlands is now moving to a tax on *actual* returns from 2027. A charge levied on *actual* wealth, with an ability-to-pay safeguard, does not share this flaw; if anything the Dutch saga shows that taxing real wealth is on firmer legal ground than taxing an imputed one.

France. The Conseil constitutionnel has repeatedly upheld wealth taxation (the ISF and later the IFI), on the condition that the burden not become confiscatory, which for a holding tax may require an income-based cap only when the rate is high (Conseil des prélèvements obligatoires, 2018; Conseil constitutionnel, 2012). The threshold is telling: in the ISF case-law a rate of 0.5% was validated without any cap, whereas a rate of 1.8% required one (Conseil des prélèvements obligatoires, 2018). The maximum annual rate proposed here is 0.5%, the very level the Conseil accepted with no cap, so the French standard is comfortably met. It is worth noting that the Conseil constitutionnel also judged that ability to pay may be assessed on wealth ownership rather than income flows (Decision n° 2019-769 QPC), confirming the legitimacy of a wealth tax.

Austria. Austria discontinued its wealth tax in 1993 by an act of government, not of any court, and for reasons of design rather than principle: fear of capital flight, widespread evasion, high administrative cost, and low and declining revenue, compounded by the unequal treatment of grossly under-valued real estate (the same defect that later led the Constitutional Court to strike down the Austrian inheritance tax) (Directorate-General for Taxation and Customs Union (European Commission), 2026).

However, one genuine legal obstacle is specific to Austria: Article 1(1)(2) of the constitutionally entrenched Final Taxation Act (*Endbesteuerungsgesetz*) bars any wealth tax on bank deposits and domestically issued bonds. Overcoming it would require either amending that constitutional law by a two-thirds majority, or granting Member States the option to exempt those asset classes, which in any case make up only a small share of large fortunes.

The recurring constitutional theme across jurisdictions is that wealth taxes fail when they value assets unequally, tax fictitious returns, or become confiscatory, never simply because they tax wealth. The present design is built to avoid all three failure modes.

3.5 Solid economic justification

The instrument rests on solid economic foundations. Farhi (2010) shows that a one-off capital levy is the efficient response to a negative fiscal shock, precisely the case created by the pandemic-era debt, the security build-up and the financing of the transition. Because the base is a past stock, the levy raises revenue without blunting the incentive to work, save or invest after 2027, the classical efficiency property of a lump-sum tax. Progressive wealth taxation is independently justified on distributive grounds: Saez and Zucman (2019) argue that it is the most appropriate tool for restoring progressivity at the very top, since the ultra-wealthy report little taxable income.

The design also has concrete precedents. It adapts the deferral and one-off mechanism of the Californian wealth-tax bill (California State Legislature, 2023), which let liquidity-constrained taxpayers attach a claim to designated illiquid assets rather than face an immediate cash assessment, and it adopts the low-rate one-off logic of Pisani-Ferry and Mahfouz (2023), who recommended an exceptional levy of 5% of GDP spread over thirty years to finance the climate transition. These are not speculative constructs but instruments that leading economists have already drafted and defended.

3.6 Democratic appeal

Beyond efficiency, the tax answers a democratic demand. Eurobarometer surveys show that 67% of Europeans agree than “an important task of the government is to tax the rich in order to support the poor”. Furthermore, 85% of Western Europeans accept an unspecified tax on millionaires (Fabre et al., 2025) and 72% of Europeans (from seven different countries) are in favor of a 2% tax on wealth above €1 million even if 30% of the revenue were channeled to foreign, low-income countries

(Fabre, 2025). A European wealth tax is also a matter of basic fairness: large fortunes are today taxed at effective rates well below those borne by ordinary households (Zucman, 2024), and a levy that reaches the stock of wealth restores the progressivity that income taxes alone can no longer deliver at the top. Finally, the extreme concentration of wealth is itself a concern for democracy, since it concentrates economic and political power; a modest, broadly supported levy that returns part of that wealth to the common budget strengthens rather than threatens democratic legitimacy.

3.7 Suitability with the political debates

Taxing large fortunes in a coordinated way is no longer a marginal idea. At the request of the Brazilian G20 presidency, Zucman (2024) presented to the July 2024 Rio meeting of G20 finance ministers a blueprint for a coordinated minimum tax on ultra-high-net-worth individuals, under which billionaires would pay at least 2% of their wealth each year.[5] Several governments, including Brazil, South Africa, France and Spain, have supported the coordinated approach. Spain, the only Member State still operating a net-wealth tax (which raised about EUR 2.2 billion in 2023), has been its most consistent EU advocate.

At European level, the instrument is now under serious institutional consideration. The European Commission has commissioned a study on the effectiveness of wealth-related taxes targeting ultra-high-net-worth individuals across EU and non-EU countries, and the European Parliament's Subcommittee on Tax Matters (FISC) held a public hearing on the taxation of ultra-high-net-worth individuals in December 2025. A one-off EU levy of the kind proposed here offers a concrete, legally robust way to act on this momentum.

4 Responses to main objections

4.1 Expatriation

The objection most often raised against wealth taxes is that the wealthy will simply leave. This concern is real for a recurrent tax, but it has little force against a one-off levy assessed on residence at a fixed past date. Because the liability is fixed by where a taxpayer lived on 1 January 2027, no later move can change what is owed. Emigration therefore cannot erase the tax, only the ease of collecting it, and that is what the Deferral Account is designed to secure. The outstanding balance is attached to assets and crystallises when the taxpayer dies or transfers their tax residence outside the EU, so that leaving triggers, rather than avoids, payment. This is the same logic as an exit tax, applied to a liability that was already fixed before any departure.

4.2 Liquidity

Another common objection is that wealthy taxpayers, though rich on paper, may lack the cash to pay. The design answers this on two levels: the annual rate is low (at most 0.5% of wealth, payable out of normal capital income rather than principal), and payment can be made in listed shares or, in genuinely illiquid cases, in kind, so that no market sale or cash outlay is required.

[5] The G20 Rio de Janeiro Ministerial Declaration on International Tax Cooperation (July 2024) committed member states, "with full respect to tax sovereignty", to "seek to engage cooperatively to ensure that ultra-high-net-worth individuals are effectively taxed", through the exchange of best practices, debate on tax principles and the design of anti-avoidance mechanisms; the commitment was reaffirmed in the leaders' declaration of November 2024.

4.3 Reduced investment and production

A wealth tax could in principle reduce private investment by lowering the after-tax return to capital, eventually lowering GDP. However, the concern of deterring investments due to lower returns does not apply here since the tax is one-off and backward-looking, so it does not alter the marginal return on any investment decided after 2027.

The claim that wealth taxes deter entrepreneurship applies to *recurrent* taxes that repeatedly claw back the fruits of success. It does not apply to a one-off tax on a past stock. An entrepreneur contemplating a new venture in 2027 faces no wealth-tax consequence from success, because the reference date has passed. The incentive to create, take risks and build is therefore left intact, which is precisely why Pisani-Ferry and Mahfouz (2023) and the classical public-finance literature on capital levies favour exceptional over permanent instruments.

Another concern is that investment would be reduced since taxation would divert resources from productive investments into public consumption. While this view should be softened by two facts. First, corporate investments can generally be funded with bank loans if retained earnings or equity become less available. Second, most of the EU budget actually fosters production rather than merely consuming it (think of the Cohesion Fund, the European Regional Development Fund, or research funding). Still, to guarantee that private investment (and in particular venture capital) is not affected, we propose in Section 5 to earmark wealth tax revenues to a sovereign wealth fund.

4.4 Valuation

A recurring objection is that wealth is hard to value, especially unlisted businesses, real estate and art. The one-off design blunts this objection at the root: because the tax is assessed on a single reference date, assets need to be valued only once, exactly as they already are at death for inheritance tax, rather than re-valued every year. The recurring administrative cost that weighs on permanent wealth taxes therefore does not arise.

The experience of countries that value wealth annually shows the task is feasible but must be done at market value. Norway, which has levied a net-wealth tax without interruption since 1892, values listed shares at market, primary dwellings by hedonic pricing and other real estate by construction cost, and unlisted firms at their book value excluding intangible assets (Directorate-General for Taxation and Customs Union (European Commission), 2026). That last convention systematically under-values young, intangible-intensive companies, the very firms whose value lies in their brand, technology or growth prospects, so Norway's base is, if anything, too generous to business owners (Grindaker and Vestad, 2025). We therefore assess all assets at fair market value.

4.5 The low yield of past wealth taxes

Skeptics point out that recurrent wealth taxes have historically raised little, around 0.2% of GDP in France (ISF) and Spain, and roughly 0.1% in the former German and Austrian taxes (Directorate-General for Taxation and Customs Union (European Commission), 2026). This is a critique of how those taxes were designed, not of wealth taxation as such. Their yield was hollowed out by three features that the present proposal rejects. First, generous exemptions for business assets, which de facto exempted billionaires. Second, income-based caps: for instance, France's cap let the billionaires be taxed at an effective rate of less than 0.1% (Directorate-General for Taxation and Customs Union (European Commission), 2026). Third, annual assessment on a mobile base, which invited migration and avoidance year after year. Our levy grants no business-asset exemption, has no income cap (it is instead capped by an ability-to-pay ceiling on *current wealth*), and is assessed once on a past stock that cannot emigrate. It is precisely because it corrects these three defects that it raises as much revenue as old taxes did despite significantly lower tax rates.

5 A strategic use: a European sovereign fund

5.1 Rationale

Everything above establishes that the levy works as an own resource: its proceeds could be paid into the EU budget, relieving Member States' contributions, or used to repay the common NGEU debt. But there is an alternative way to deal with the debt-reimbursement problem. Rather than shrink the Union's balance sheet by repaying the debt, the proceeds could be invested, at a time when major investments are needed for the ecological transition and for competitiveness.

The idea is to endow a European sovereign wealth fund, with at least a substantial share of the wealth tax proceeds. Such funds are no longer the preserve of resource-rich states: China, Singapore, Australia and South Korea each run one worth more than 10% of their GDP, and Canada launched a national fund in 2026 financed by public debt. Worldwide, sovereign wealth funds manage assets worth close to 13% of global GDP, yet the European Union has no comparable fund. Sized at 5% of EU GDP, the levy would build up a fund whose assets would eventually reach about twice the common debt, so that its long-run dividends would exceed the interest owed several times over.

As the fund reinvests the proceeds rather than consuming them, the aggregate capital stock is preserved and ownership merely shifts from private to collective hands. This addresses a potential concern that investment would be reduced since taxation would divert resources away from productive investments (Section 4.3).

5.2 Governance and mandate of the fund

The proceeds would endow a European sovereign wealth fund under democratic control.[6] The fund's mandate would be threefold: to hold a broadly diversified portfolio of equities, so as to spread risk and secure a stable return; to steer the ecological transition; and to select strategic investments that strengthen Europe's future-preparedness. On the model of the recent Canadian national fund, the mandate would give priority to *primary* investments (initial public offerings, capital increases and other subscriptions of newly issued equity) in European companies with a strategic dimension or a sustainable project, so that the fund channels fresh capital into productive investment rather than mostly reallocating ownership of existing shares.

6 Possible variants

Several variants are compatible with the architecture above but are left for future work and not developed here: (i) converting the one-off levy into a *permanent* recurrent wealth tax; (ii) applying *higher rates* above EUR 100 million wealth, closer to the 2%–3% minimum-tax proposals of Zucman (2024); and (iii) pairing the wealth tax with a reform of *inheritance* and *capital gains taxation*, which

[6] For example, its board would be appointed by the political groups of the European Parliament, each group naming board members and exercising a voting right proportional to its number of seats in the Parliament, so that the fund's direction reflects the Union's democratic balance rather than the discretion of a single executive.

reaches the same tax base at the point of transmission. Each of these would change the efficiency, legal and political properties of the instrument and deserves separate analysis.

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A Tax on Luxury Goods

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This appendix proposes a broad luxury tax as a new EU own resource, bundled with the abolition of VAT refunds for non-EU visitors, which would also generate additional revenue for member states, mostly from personal (portable) luxury goods. Both components are motivated by the finding that raising revenue via luxury taxation generates a significantly lower marginal economic burden than traditional national taxes. Luxury taxation is justified on the grounds of status externalities and progressivity, and it reaches the wealthiest without deterring investment or philanthropy. National luxury taxation is nevertheless depressed by international tax competition: for portable luxury goods, countries compete for internationally mobile shoppers; for residence-based luxury goods such as cars, they compete for high-net-worth residents. We therefore propose to implement a new EU own resource as a luxury excise on the value of an item exceeding a category-specific per-item price threshold. We propose a uniform ad valorem rate across categories as a focal point to facilitate negotiations. Economic modeling suggests that an EU-wide additive luxury tax rate of 20% is justified on the grounds of status externalities and signaling alone, while socially optimal tax rates are likely substantially higher once progressivity benefits are taken into account. A 20% rate is estimated to raise EUR 45 billion per year for the EU budget. A luxury tax restricted to a single product category would create uneven relative burdens across member states; the broad scope we propose — yachts, luxury vehicles, personal luxury items, hospitality and fine spirits — spreads the burden far more evenly relative to GDP. The countries collecting the largest revenue shares, notably France, Italy and Spain, would in addition benefit disproportionately from the concurrent abolition of VAT refunds, estimated to raise up to EUR 4 billion EU-wide. The combined reform is feasible, highly progressive and politically viable.

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1 Introduction

There are strong economic reasons, reviewed briefly below, for expecting that taxing luxury goods at a higher rate than other goods would raise social welfare. When countries set their luxury taxes individually, however, powerful tax-competition forces push these taxes down. For portable luxury goods, countries have an incentive to lower rates in order to attract and retain shoppers, and thereby to collect indirect tax revenue on the non-refundable on-site consumption that accompanies their visits. For non-portable luxury goods taxed on a residence basis, such as luxury cars, countries have an incentive to lower rates in order to attract internationally mobile high-income and high-wealth individuals. The post-Brexit abolition of VAT refunds in the UK made these spillovers highly visible: sales of portable luxury goods shifted substantially to other countries, including in continental Europe [1].

Luxury taxes are therefore promising as an EU own resource, since a common tax would correct a distortion created by tax competition. Even a country that finds it optimal not to introduce a luxury tax of its own may find it in its interest to vote for an EU-wide one, since this prevents it from losing shoppers or residents to other member states. Put differently, each member state benefits from the luxury taxation of the others through the resulting displacement of shoppers and residents towards it. This is what makes voting for an EU-wide luxury tax attractive.

We will argue that the "bundled approach" of introducing an EU-wide luxury tax to fund the EU budget has advantages over the "separated approach" of imposing mandatory minimum luxury taxes while increasing the EU budget through traditional GNI-based contributions. In other words, the two problems — tax competition leading to the undertaxation of luxury, and unanimity constraints leading to the under-provision of EU funding — are best addressed through a single mechanism.

There are two core arguments in favor of the bundled approach. Firstly, unlike the separated approach, it does not aggravate tax competition for people with high income and wealth. Under the separated approach, mandatory minimum luxury taxes would raise the revenue such people yield, and hence the value of attracting them; countries would therefore have a stronger unilateral incentive to cut taxes on high incomes and wealth. Under the bundled approach no such aggravation arises, because each country is indifferent as to which member state collects the EU-wide luxury tax: the revenue accrues to the EU budget in any case.

This first argument shows that the aggregate welfare gains achievable under the bundled approach exceed those under the separated approach. That is desirable in itself, and it also makes unanimity easier to obtain. A second argument suggests that even setting this welfare gain aside, the bundled approach may be more likely to secure unanimity among member states.

This second argument in favor of bundling can be stated very generally: compare holding separate votes on two reforms with holding a single vote on their combination[2]. If each reform separately commands unanimity, so should the combination; the converse, however, does not hold.

[1] Of the 162,000 non-EU tourists who claimed VAT refunds exclusively in the UK in 2019, approximately a fifth were claiming rebates in EU countries by 2023. Since this captures only EU-redirection, the true extensive margin is likely larger **?**.

[2] Note that in our case, the bundled approach is, by the first argument, likely to yield welfare improvement over the separated approach and so the bundled approach is not just a combination of two components of the separated approach. We assume away this effect here just for analytical clarity.

2 The proposals

2.1 The European luxury surcharge as an EU own resource

We propose a single EU-wide indirect tax, levied at a uniform ad valorem rate on the part of an item's price that exceeds a category-specific threshold, assessed on the first supply to a final consumer or on importation, and collected by VAT-registered vendors through the existing VAT return. Its yield accrues to the EU budget as an own resource. We refer to it as the European luxury surcharge.

Formal definition

Definition 2 (European luxury surcharge) *The surcharge is defined by the following elements.*

(i) Scope. *A set of product categories $\mathcal{C}$ is enumerated.*

(ii) Thresholds. *Each category $c \in \mathcal{C}$ carries a threshold $\bar{p}_c$ which can be either 0 or positive. If positive, it is expressed as an amount per item before any taxes.*

(iii) Rate. *A single rate t^{EU} applies uniformly across all categories on the value exceeding the threshold.*

(iv) Collection. *The surcharge is declared and paid on the VAT return of the person liable, in a separate box, and is subject to the same registration, invoicing, record-keeping and audit obligations as value added tax.*

(v) Attribution. *Amounts collected are attributed to the member state of taxation and transferred to the EU budget under the Own Resources Decision.*

Categories and thresholds

The categories could be specified by Combined Nomenclature (CN) codes, which already exist and are already used at import. For some categories the threshold could be set to zero, because every item in the category can be regarded as a luxury. For example:

CN 7113/7114/7116 (jewellery, articles of precious metal, precious stones)
CN 9101/9102 (watches with precious-metal cases),
CN 4303 (furskin apparel)
CN 8802 (aircraft, private use)

Many other categories contain both goods that are clearly luxuries and goods that arguably are not. For these, positive per-item thresholds are essential. Examples include:

CN 8703 (passenger vehicles)
CN 8903 (yachts and pleasure craft)
CN 2204/2208 (wine and spirits)
CN 9701-9706 (art, antiques)

Services (luxury hotels, cruises, fine dining) have no CN code and would require a definition by price, for instance per night or per cover.

Specific proposals for thresholds could be anchored in values already in use elsewhere. Korea's Individual Consumption Tax applies to watches and bags above roughly €1,300 and to jewellery, fur and leather goods above roughly €3,200. France's *taxe forfaitaire sur les objets précieux* applies to jewellery, watches, art and antiques above €5,000 per item, with the threshold assessed object by object except where the objects form a coherent set. India's tax collected at source on luxury goods applies above roughly €10,000, uniformly across its notified list of watches, art, collectibles, yachts, bags and footwear. For accommodation, Florence's *imposta di soggiorno* is assessed directly against the net price per guest per night, in bands whose highest begins at €200.

For motor cars the comparators are more dispersed: Australia's Luxury Car Tax threshold stands at roughly €46,000, rising to roughly €69,000 for zero-emission vehicles; Canada's at roughly €65,000; China's at roughly €110,000; and Greece's at €17,000. Denmark's registration tax, the closest European analogue to a graduated luxury rate on vehicles, reaches its 85 per cent bracket at roughly €8,200 and its top 150 per cent bracket at roughly €25,500, once its VAT-inclusive base is restated net of VAT. Canada applies a separate and much higher threshold of roughly €156,000 to vessels.

All the price thresholds should be indexed to inflation.

The case for a uniform tax rate

From the perspective of aggregate welfare alone, it might be optimal to differentiate rates substantially across luxury goods, to the extent that they differ in how far their consumption is motivated by status and in how strongly it correlates with income and wealth. A new EU own resource is nevertheless likely to be easier to adopt in the simple form of a single rate. The burden of taxes on luxury cars falls disproportionately on Germany, whereas that of taxes on portable luxury goods falls disproportionately on France, so negotiations over rate differentiation would have a partly zero-sum character. A uniform rate is a natural focal point. Moreover, a uniform rate might lead to a relatively balanced distribution of tax burdens, as the estimates in section 8.2 suggest.

2.2 Abolishing the VAT refunds

We propose to combine the introduction of the European luxury surcharge with an EU-wide abolition of VAT refunds to departing non-residents. Such refunds mostly concern luxury goods, since only for high-value items is it worth the traveler's while to carry the goods home and reclaim the tax.

3 Adoption

Both proposed reforms — the EU-wide luxury excise and the abolition of VAT refunds — require unanimity among member states. We propose to bundle the two reforms to improve the chances of reaching unanimity.

We are aware of no paper or report questioning the legality of abolishing VAT refunds or of taxing luxury at high rates. Consistently with this, no country objected when the UK abolished its own refund scheme after leaving the EU.

4 Alternative design options

In the proposal as formulated above, the European luxury surcharge is implemented as an excise.

5 The tax base

This annex proposes a broad luxury tax as a new EU own resource, implemented as an excise assessed by VAT-registered retailers on the VAT-exclusive taxable amount and remitted on the VAT return. A list of product categories would be defined, each with a per-item price threshold, and a uniform ad valorem rate applied to the excess over that threshold.

Table 4: EU-27 spending on high-end and luxury goods and services by sector (2024E/2025), net of VAT and consumption taxes

Sector	EU-27 spending (EUR bn/yr)
Automotive	111
Personal luxury goods	81
Hospitality (hotels, cruises)	54
Yachts	25
Fine wines and spirits	22
Gourmet food and fine dining	18
Design and furniture	11
Total, goods and services	**322**

Notes: Own calculations. Global sector values from **?** are multiplied by the share purchased in Europe (published for personal luxury goods: 30.3%, **?**; constructed for other sectors) and by the EU-27 share of Bain's Europe perimeter (74%; excluding the UK, Switzerland, Turkey and Norway). The automotive figure is the brand-based perimeter; the vehicle-segment luxury tier is roughly EUR 20 bn. The hospitality share is assumed (not published). Memo items outside the ECCIA sector perimeter: art and antiques $\approx$ EUR 5 bn; business aviation $\approx$ EUR 2 bn. The yacht figure is estimated separately as a flow of consumption. It is a territorial (destination-basis) estimate of yacht-related consumption in EU waters for yachts above 10 m, based on the Italian tax introduced in 2012.

6 The case for luxury taxation

6.1 The progressivity motive

Luxury consumption is correlated with high income, so luxury taxation is progressive and looks promising to the extent that the existing tax system is insufficiently progressive. A standard objection is that the existing system is itself the outcome of historical learning and societal deliberation, which have already traded the benefits of progressivity against its costs. Progressive luxury taxation weakens work incentives much as a progressive income tax does, and it likewise makes a country less attractive to high earners deciding whether to stay or to move there. The clearest theoretical distillation of this argument is provided by **?**: under some technical assumptions, any redistribution achieved via a tax reform making commodity taxation progressive can be achieved more efficiently by instead equalizing tax rates across all goods and directly making the income taxation more progressive.

The Kaplowian argument stands on firm ground when applied to unilateral national tax policy. Importantly, it does not require work disincentives to be the main force limiting the optimal taxation of income. The argument is in fact even more direct when the binding constraint is the international mobility of high earners: progressive commodity taxation, like progressive income taxation, makes a country less attractive to them. To maintain a given level of attractiveness, a country is therefore best off taxing all commodities at the same rate, so as to leave consumption choices undistorted, and setting the income tax at the highest level of progressivity compatible with that target.

These arguments have to be qualified, however, when the object is an EU-wide tax. Precisely because the progressivity of income taxation has been eroded by tax competition for internationally mobile high earners, particularly within the EU (**?**), luxury taxation can play an important role in partially offsetting this lack of progressivity. It could be objected, again on Kaplowian grounds, that the answer is instead a progressive EU-wide income tax. But agreeing on a common income tax base is a daunting challenge, and the complexity involved is well recognised by the most prominent proposals for an EU-wide additive tax on high incomes: **?** propose to create a new legislative body, parallel to the European Parliament, to deliberate on such complex fiscal questions. Against that benchmark, agreeing on a set of goods to be defined as "luxury" for the purposes of an EU-wide additive own resource looks relatively straightforward.

Moreover, progressive commodity taxation has an advantage over progressive income taxation: it acts in part like a progressive tax on wealth, since luxury spending is positively correlated with wealth and the tax reduces the purchasing power of that wealth (**?**). The lack of progressivity in wealth taxation that results from the international mobility of the wealthy (**?**) therefore provides a further rationale for progressive commodity taxation. Importantly, this form of quasi-wealth redistribution does not affect incentives to save or invest, in contrast to an actual tax on wealth. As a result, many of the concerns that have led to opposition to wealth taxation (see e.g. the recent discussion in France) do not apply to luxury taxes. In addition, luxury taxation does not reduce private philanthropy, in contrast to progressive taxes on income and wealth.

Determining optimal luxury taxation on these progressivity grounds is a challenging task, beyond the scope of this report. We instead derive an optimal rate under a deliberately conservative approach that sets the progressivity arguments aside. That approach, explained in the next section, rests entirely on a different rationale: signaling and status externalities. As we shall see, it also shows that even if optimal progressivity of income and wealth taxation were achieved at the EU level, substantial EU-wide additive luxury taxes would remain efficiency-enhancing.

6.2 The optimal taxation of status goods

A further rationale for taxing luxury goods arises from signaling and status externalities. For some luxury goods, there is strong evidence that part of the motivation for buying them derives from what the purchase reveals to others: about the buyer's income or wealth, or, in the case of a gift, about the giver's commitment. That information is still revealed when the tax on the good rises. In the extreme case of a "pure diamond good" (**?**), where signaling is the only motive, any tax increase is beneficial: the same information is transmitted with fewer resources devoted to the good. In the more realistic case of an impure diamond good, where signaling coexists with the intrinsic enjoyment of the good, the optimal tax rate is finite.

A related model posits that luxury goods confer status benefits on the consumer, through the signaling of income or wealth, but that these benefits are fixed-sum in the aggregate. Luxury consumption then creates a classical externality, calling for a Pigouvian correction. For empirically plausible elasticities, the optimal rate in this status-externality model turns out to be close to that in the impure diamond-good model. For reasons of tractability, we report results for the status-externality model, derived by **?**.

The critical parameter for computing the optimal tax turns out to be the answer to a single question: per euro spent on a luxury good, how many euros of benefit, ϕ, does the consumer derive from the status that the purchase confers, for instance through the signaling of income or wealth? This parameter is in general difficult to estimate. **?** exploit a rare opportunity to do so: in a randomised experiment, consumers were offered functionally equivalent platinum credit cards, in one arm visibly branded as such and in the other not. The experiment implies $\phi = 1/3$.

From **?** we obtain a simple formula for the optimal tax on luxury, t_{luxury}, as a function of the tax prevailing on other goods, $t_{\text{other goods}}$, the prevailing markups, and the status parameter ϕ defined above:

$$1 + t_{\text{luxury}} = (1 + t_{\text{other goods}}) \frac{1}{1-\phi} \frac{1 + \text{markup}_{\text{other goods}}}{1 + \text{markup}_{\text{luxury}}}$$

This yields $t_{\text{luxury}} = 0.42$ for the following estimates from **?**:

$$t_{\text{other goods}} = 0.18, \phi = 1/3, \text{markup}_{\text{other goods}} = 0.12, \text{markup}_{\text{luxury}} = 0.4$$

Under this calibration, luxury goods should be taxed at 42%. The calculation ignores the rationales set out above beyond status effects, and should therefore be read as a conservative estimate. Allowing for the erosion of income and wealth tax progressivity by tax competition, together with the correlation between luxury consumption and high income and wealth, would point to potentially much higher optimal rates.

6.3 The self-interested case

Our discussion so far has concerned the optimal taxation of luxury under hypothetical global coordination. We now turn to findings from **?** which suggest that, for personal luxury goods, countries acting unilaterally end up with luxury taxes below the globally optimal rates[3]. These findings are approximately independent of the status/signaling parameter ϕ introduced above. They therefore provide a robust case for EU-wide luxury taxation.

The rationales set out above for taxing luxury consumption more heavily than other goods apply to each country individually. A country's population benefits when status externalities — which plausibly arise mainly from comparisons among people living in the same country — are taxed and thereby corrected.

Three further effects, however, enter any country's calculation of how to set its luxury tax on purchases made in its own territory so as to maximize national welfare:

1) The profits generated by the markups on luxury goods and services accrue partly to residents of other countries.

2) Part of the luxury consumption is undertaken by visitors from other countries, who therefore bear part of the tax burden.

3) Increases in the luxury tax lead people, whether resident consumers or potential visitors, to make their luxury purchases in another country.

Effects 1) and 2) create national incentives to set the luxury tax high. If effect 3), which pushes in the opposite direction, were sufficiently weak, theory would predict that national governments set their luxury taxes above the globally optimal level. However, **?** provide an empirically calibrated

[3]For example, **?** suggest that France's current standard VAT rate is almost exactly France's unilateral optimum. For Germany, Spain and Italy the unilateral optimum is above the status quo but still much below the global optimum.

model, for portable personal luxury goods, in which 3) is stronger than 1) and 2) combined. Tax competition therefore distorts national luxury taxes downwards, which is a strong rationale for setting a luxury tax at EU level. Specifically, the model implies that the marginal cost of raising one euro through an EU-wide luxury tax, starting from a situation in which VAT refunds have been abolished, is EUR 0.88[4]. This estimate implies that it is 12% cheaper for the EU to raise funds through luxury taxation than through GNI-based contributions.

Importantly, this estimate — that a marginal euro of revenue from an EU-wide luxury tax costs EU countries only 0.88 euros — already accounts for some of the main effects commonly, and justifiably, adduced against such taxes in Europe. Firstly, the underlying model captures the effects on the EU's luxury industry through a markup accruing to luxury producers that is higher than in other sectors, reflecting the strong brand-based differentiation characteristic of the industry. Secondly, the model takes into account the diversion of shopping to countries such as the UK, Switzerland and the Gulf states, and the fact that such diversion reduces member states' VAT receipts on the non-refundable consumption of luxury shoppers.

7 Effects on global welfare

Some luxury goods, jewellery in particular, carry large negative externalities, owing to the role of precious stones in financing conflict (**?**) and in undermining democratic accountability (**?**), as the large literature on the "resource curse" documents (**??**). This is a further reason to expect the optimal rates on the goods concerned to exceed the rate calculated above from signaling and status externalities alone.

Moreover, EU luxury taxes could benefit other countries whose own luxury tax revenue is eroded by travelers smuggling goods bought in the EU. At present, non-EU residents obtain a full refund on their luxury purchases in the EU when they return to their country of residence. This leaves a wide margin for those who smuggle such goods back to countries like China and resell them there. Since auditing travelers extensively is costly, there are strong incentives not to declare purchases at customs and thus to evade the high domestic taxes, particularly in China. This has led the Chinese government to lower its luxury tax rates [5] in an attempt to reduce the incentives for smuggling.

Abolishing VAT refunds for departing non-residents would therefore allow countries such as China to tax luxury goods at whatever rate they deem appropriate, to their own benefit. To see why, note that a potential smuggler weighs the margin earned by reselling in China against the cost: the stress of acting illegally and the small chance of being caught in an audit. Removing the EU refund reduces that margin, and hence the number of people who choose to smuggle. China could in addition raise its luxury tax by the amount of the current EU refund without increasing the net incentive to smuggle, and hence without increasing the volume smuggled.

[4]It must be emphasized that there is large uncertainty associated with this estimate. We have not found any other estimate in the literature. The 0.88 estimate based on the model **?** is for a specific category of luxury (namely luxury leather goods) as a proof-of concept. The calibration can be straightforwardly extended to other categories with substantial additional data work.

[5]Like most of the countries outside of the EU, China has luxury taxes. Since 1994, China has levied a *consumption tax* (CT) on 15 categories of goods—including tobacco, alcohol, cosmetics, jewelery, luxury watches, yachts, and passenger vehicles—collected primarily at the production or import stage rather than at retail (**??**). For passenger cars, the CT is graduated by engine displacement, ranging from 1% for engines below 1.0 L to 40% for engines above 4.0 L. In addition, since December 2016, a 10% surcharge applies to "super-luxury" vehicles above a price threshold, originally set at RMB 1.3 million (VAT-excluded) .

Removing EU VAT refunds would thus benefit other countries by letting them set their luxury tax rates with less of the distortion created by smuggling. It would also raise economic welfare directly, by reducing smuggling and releasing the labor currently expended on it for productive uses.

8 Revenue estimates

8.1 Aggregate revenue estimate

Our proposed excise involves category-specific price thresholds, with a uniform ad valorem rate applied to the value exceeding the relevant threshold. Setting these thresholds category by category is beyond the scope of this report. We instead provide a rough estimate of the revenue potential of luxury taxes, assuming hypothetically that the thresholds are set to zero but that the product categories are defined so as to correspond to the luxury perimeter of our data sources. If thresholds are in practice set at a relatively low level, the results presented here should be a good approximation.

For each category, let us assume that pre-tax prices are unaffected by the luxury taxes. [6] Consider the case of a luxury good (e.g. luxury cars) that is bought only by residents. Let us assume that the demand has constant price elasticity denoted by ϵ. Denote the pre-tax price of the good by p, country i's own ad valorem[7] tax on luxury goods by t_i, and the additive EU-wide VAT by t_{EU}. The quantity consumed can then be written in terms of its status quo value Q_i^0:

$$Q_i = Q_i^0 (\frac{1 + t_i + t_{EU}}{1 + t_i})^\epsilon$$

Let $T_{i,EU}$ denote the revenue from the EU-wide tax collected by country i. We get:

$$T_{i,EU} = t_{EU} p Q_i = t_{EU} p Q_i^0 (\frac{1 + t_i + t_{EU}}{1 + t_i})^\epsilon$$

Now denoting by R_i^0 the status quo spending on the luxury good category by country i, we get $R_i^0 = pQ_i^0(1 + t_i)$. Given our assumption that both the pre-tax price p and the country's own tax rate are unaffected by the EU-wide additive ad valorem tax, we can thus write:

$$T_{i,EU} = t_{EU} \frac{R_i^0}{1 + t_i} (\frac{1 + t_i + t_{EU}}{1 + t_i})^\epsilon$$

Rearranging gives:

$$T_{i,EU} = \frac{t_{EU}}{1 + t_i + t_{EU}} R_i^0 (\frac{1 + t_i + t_{EU}}{1 + t_i})^{1+\epsilon}$$

Calibrating the price elasticity of demand for luxury goods For portable personal luxury goods, arguably the most directly relevant tax-base elasticity comes from the UK Office for Budget Responsibility's review of the abolition of the VAT Retail Export Scheme (OBR, 2024). The OBR's original 2020 costing assumed an elasticity of -1.9, itself a 50% scale-up of a UK tourism elasticity of -1.28 intended to capture the greater price-sensitivity of tax-free luxury shoppers; on review the

[6] This happens in monopolistic competition models, used e.g. by **?** for the analysis of luxury good taxation.
[7] This includes both VAT and excises where they exist.

OBR judged this too high and revised its central estimate to approximately −1.2. It is important to read this figure for what it measures: a *tax-base* elasticity that bundles the pure consumption response together with the diversion of tourist purchases to competing destinations—above all to Paris and Milan, which retained tax-free shopping when the UK withdrew it. The estimate is therefore dominated by a *destination-substitution* margin that is specific to a unilateral national measure.

For an EU-wide luxury surcharge the relevant elasticity is likely to be substantially smaller in absolute value. The −1.2 estimate is large precisely because a non-EU visitor deciding where to buy a handbag could avoid the UK price increase by purchasing in another European capital at no cost to their itinerary; the tax fell on one destination while its closest substitutes remained untaxed. A harmonised surcharge applied simultaneously across all 27 member states closes exactly this margin: intra-EU relocation of purchases no longer avoids the tax, and only the two weaker channels remain—genuine reductions in consumption, and diversion to destinations outside the EU (principally the UK, Switzerland, and the Gulf and Asian luxury hubs). Since a large share of the leakage embodied in the OBR figure is intra-European, the own-price elasticity of the EU-wide tax base should be expected to lie well below 1.2 in magnitude, closer to the underlying consumption elasticity of personal luxury goods, with only a modest additional wedge for extra-EU diversion.

Theory also provides a prior on ϵ. For "pure diamond goods" (**?**), where the only motivation is to signal through the spending itself, $\epsilon = -1$. In the realistic case where consumers are also motivated in part by the intrinsic enjoyment of the good, the elasticity can lie below or above −1. The econometric estimates find demand to be inelastic, i.e. less elastic than 1 in absolute value:

Table 5: Category-level own-price elasticities of demand, luxury-relevant categories

Category	Category-level price elasticity of demand	Source
Jewellery & watches (US, PCE aggregate, 1947–2004)	−0.38 short run; −0.17 steady state	Taylor & Houthakker (2010), *Consumer Demand in the United States*, 3rd ed., Table 15.15, doi:10.1007/978-1-4419-0510-9
Gold imports, jewellery-dominated (India, aggregate)	≈ −0.5 to −1.0 long run; more elastic in the short run[a]	Kanjilal & Ghosh (2014), *Resources Policy* 41, 135–142, doi:10.1016/j.resourpol.2014.05.003
Wine (aggregate consumption)	−0.69 (mean of reported estimates)	Wagenaar, Salois & Komro (2009), *Addiction* 104(2), 179–190, doi:10.1111/j.1360-0443.2008.02438.x
Spirits (aggregate consumption)	−0.80 (mean of reported estimates)	Wagenaar, Salois & Komro (2009), ibid.
New passenger vehicles (US, whole market)	−0.34 (long run)	Leard (2022), *J. Assoc. Environ. Resour. Econ.* 9(1), 27–49, doi:10.1086/715814

Notes: Only estimates at whole-category aggregation are included, as inter-brand substitution inflates $|\varepsilon|$ relative to the response to a category-wide tax.

A conservative revenue estimate Consider the case $\epsilon = -1$ for every luxury category. As far as revenue potential is concerned, this is conservative: the evidence above suggests that $\epsilon > -1$, which would imply more revenue from the EU-wide additive tax. The formula derived above then gives the revenue from the EU-wide tax as a function of status quo consumer spending R_i^0, the status quo national tax rate t_i, and the EU-wide rate t_{EU}:

$$T_{i,EU} = R_i^0 \frac{t_{EU}}{1 + t_i + t_{EU}}$$

The revenue generated by the EU-wide tax is increasing in t_{EU} and approaches €322 billion as the rate goes to infinity.

We now compute the revenue for the case where all member states apply the average statutory rate on luxury goods, i.e. 22% (Tax Foundation):

$$\sum_{i \in EU} T_{i,EU} = \sum_{i \in EU} R_i^0 \frac{t_{EU}}{1 + 0.22 + t_{EU}} = 322 \cdot \frac{t_{EU}}{1.22 + t_{EU}}$$

Setting $t_{EU} = 0.2$ brings the overall ad valorem rate to 42%, the conservatively estimated optimum of **?**. Aggregate revenue from the EU-wide luxury tax is then:

$$\sum_{i \in EU} T_{i,EU} = 322 \cdot \frac{0.2}{1.42} = €45 \text{ billion.}$$

Further revenue potential The estimate of €45 billion is conservative in at least two ways. Firstly, the (surprisingly weak) empirical evidence surveyed above is consistent with demand being substantially less elastic than the value $\epsilon = -1$ that we assume. This would make the theoretical maximum *revenue potential* larger than the €322 billion obtained for $\epsilon = -1$.

Of course, the socially optimal tax on luxury goods is likely to lie well below the revenue-maximizing rate. Beyond some point, high luxury tax rates would weaken work incentives for those high earners who are motivated by the intrinsic enjoyment they derive from luxury consumption. Yet since tax progressivity in the EU has been pushed down by competition for people with high income and wealth, the optimal luxury tax is likely to be substantially above the 42% justified by status externalities alone. In the limiting case where the price elasticity of overall luxury demand is close to zero, a luxury tax could make up for most of the missing progressivity of income and wealth taxation in the EU.

Quantifying the overall optimal luxury tax is beyond the scope of this report. The revenue potential under the above assumptions can nonetheless be illustrated:

At an additive EU-wide luxury tax of $t_{EU} = 0.4$, revenue would be €80 billion.

At $t_{EU} = 0.6$, it would be €106 billion.

8.2 Revenue collected by Member State

As motivated above, this report proposes a uniform EU-wide rate across all luxury goods, funding the EU budget as an own resource. An important design choice implicit in the proposal is to bundle all luxury tax bases together, rather than to put forward taxes on specific categories as separate proposals. The estimates below provide one motivation for this bundling: the revenue collected, and hence contributed to the EU budget, is not far from proportional to GDP.

Under two reasonable assumptions, this purely descriptive finding suggests that the proposal has some promise of garnering unanimity, provided countries are well informed about their own interest. Firstly, assume that the benefits of EU spending are roughly proportional to GDP; this is plausible for the international public goods to which the EU contributes, such as pandemic prevention and preparedness. Secondly, assume that the tax burden is roughly proportional to the revenue collected. The second assumption is not exact, since the burden has other components, most notably foregone profits and the international displacement of consumers; but it is likely to be a decent first approximation to the distribution of burdens across countries.

Under these two assumptions, at a given aggregate benefit-cost ratio the proposed reform — an additive EU-wide luxury tax funding the EU budget — is more likely to garner unanimity when the ratios of tax revenue to GDP are less dispersed across countries. To see why, note that additional own resources either expand EU spending or replace residual contributions proportional to GNI, which is itself close to GDP. If every country had the same ratio of revenue collected to GDP, rational voting would yield unanimity as long as the aggregate benefit-cost ratio exceeded 1 — which is highly plausible, as we argue below.

We define luxury goods and services by the list of categories given above: automotive, personal luxury goods, hospitality (hotels and cruises), yachts, fine wines and spirits, gourmet food and fine dining, and design and furniture. The estimates below are aggregates across all of them.

Member state	Base €bn	Rev. %	GDP %	Ratio	Member state	Base €bn	Rev. %	GDP %	Ratio
France	62.0	20.7	16.3	1.27	Romania	3.2	1.1	2.2	0.49
Germany	57.7	19.3	24.5	0.79	Finland	2.9	1.0	1.6	0.61
Italy	56.5	18.9	12.3	1.54	Hungary	2.5	0.9	1.1	0.78
Spain	30.9	10.3	8.7	1.19	Croatia	2.3	0.8	0.5	1.55
Netherlands	11.0	3.7	6.0	0.61	Luxembourg	1.8	0.6	0.5	1.21
Austria	9.9	3.3	2.8	1.18	Bulgaria	1.6	0.5	0.6	0.88
Belgium	9.8	3.3	3.5	0.93	Cyprus	1.5	0.5	0.2	2.44
Poland	8.0	2.7	4.7	0.57	Slovakia	1.3	0.4	0.7	0.63
Sweden	7.1	2.4	3.0	0.79	Slovenia	1.1	0.4	0.4	0.93
Portugal	6.4	2.1	1.6	1.34	Malta	0.9	0.3	0.1	3.11
Greece	6.3	2.1	1.3	1.61	Lithuania	0.8	0.3	0.5	0.53
Czechia	4.6	1.5	2.0	0.77	Estonia	0.5	0.2	0.2	0.91
Denmark	4.2	1.4	2.3	0.62	Latvia	0.5	0.2	0.3	0.55
Ireland	3.8	1.3	3.0	0.43	**EU-27**	**299**	**100**	**100**	

Table 6: EU-27 luxury tax base by member state, €bn per year, net of VAT. "Rev. %" is the share of total revenue collected; "GDP %" the member state's share of EU-27 GDP in 2024; "Ratio" the former divided by the latter. The estimates apply to the case of a small tax, where tax revenues are proportional to the status quo tax base. The estimates use data from Eurostat (2024), ACEA (2026), ECCIA–Bain report (2025) and ad hoc assumptions that would take too much space to detail here. All details are available upon request.

Setting aside the small countries Cyprus and Malta[8], the highest ratio of a country's implied share of luxury tax revenue to its share of EU GDP is 1.61, for Greece. Under rational voting, and given the assumptions above, unanimity therefore holds if and only if one euro of EU spending yields at least €1.61 in benefits for EU countries overall.

In reality, the prospect of unanimity is of course not determined by the largest relative burden alone, since countries with somewhat lower relative burdens, such as Croatia, could also oppose

[8]Correspondingly small ad hoc transfers could be appropriate to compensate these two countries.

the reform. Broadly, then, low dispersion in the ratio of revenue share to GDP share is favorable for unanimity. This dispersion turns out to be 36% lower than the average dispersion that would result from considering each sector separately.[9] The reason is that the sectors are far from perfectly correlated. For example Germany bears a disproportionate part of the burden from luxury car taxation and a relatively small part of the burden from personal luxury good taxation, whereas the reverse is true for France.

8.3 Should countries with high relative tax burden be compensated?

A natural way of compensating countries with a high relative tax burden would be to reduce their required GNI-based contributions. If countries believe that own resources substitute one for one for GNI-based contributions, this would help in securing unanimity. The approach has a substantial downside, however: it would aggravate tax competition for people with high income and wealth. To see why, consider the extreme case where the GNI-based contribution is fully adjusted so that each country ends up making a net contribution to the EU budget corresponding to its GNI share. In this case, a country de facto gets to fully keep every euro of additional luxury tax revenue, given that it gets compensated one for one for exceeding the tax revenue corresponding to its GNI share. The country would therefore have an incentive to lower its taxes on high incomes and wealth, since attracting such people becomes more rewarding given their disproportionate spending on luxury goods.

This detrimental effect scales with the size of the country's luxury tax base. A pragmatic approach is therefore to use this form of compensation only for countries that are sufficiently small in that sense and sufficiently disproportionately burdened by the luxury tax. Doing so can improve the chances of reaching unanimity without compromising much of the welfare gain the reform can achieve.

9 The case for using the luxury tax as EU own resource

Tax competition between member states undermines their unilateral incentives to introduce and raise luxury taxes. This international spillover suggests that member states could gain in aggregate by raising luxury taxes jointly, even where no country would find it in its interest to act alone — which motivates the proposal for a new EU-wide ad valorem luxury excise. Empirically calibrated modeling (?) suggests that some countries would already benefit from introducing luxury taxes unilaterally; but the collective economic gains are much larger.

The introduction of such a new additive EU-wide luxury VAT[10] requires unanimity between member states for EU-wide adoption.[11] Other things equal, unanimity is easier to obtain when the revenue raised creates large collective benefits. Directing the revenue to the EU budget as an own resource, as we propose, may therefore make it more likely that all member states vote in favor.

[9] A standard way of measuring the dispersion is via the GDP-weighted coefficient of variation of the ratio. For this we get: A base-weighted average of the sector variances would imply an aggregate CV of 0.557; the actual aggregate CV is 0.354. Roughly 36% of the dispersion cancels when the sectors are combined.

[10] similarly for other taxes such as excises. Given the above-mentioned administrative cost advantages of VAT, we focus on the VAT implementation.

[11] Enhanced cooperation could also be explored. However, luxury taxation becomes more costly if only a subset of EU countries participates, given the induced displacement of the luxury consumption to EU countries that do not participate.

9.1 Bundling to facilitate unanimity

The proposed European luxury surcharge is designed to address two inefficiencies at once: 1) suboptimal luxury tax rates driven by tax competition, and 2) suboptimal funding for the EU, in particular for EU-wide international public goods.

Alternatively, two separate EU-wide reforms could each address one of these problems. The first would introduce an EU-wide luxury tax whose revenue each member state retains. The second would require each member state to contribute additional funding to the EU, for instance in proportion to its GNI, as under the traditional funding scheme. We call this alternative the "separated approach": each reform is voted on separately at EU level, and each requires unanimity.

The separated approach has been the dominant one, both globally and at EU level. The Global Minimum Tax on corporate income, for example, imposes no earmarking conditions: it addresses a race to the bottom in corporate income tax rates and, relatedly, the inefficiency of transfer-pricing-based tax avoidance. Funding for global funds for global public goods and redistribution is raised separately from any tax coordination. It is based on voluntary contributions and, in the case of the UN institutions, partly on assessed contributions calculated in proportion to GDP that countries have to pay to keep their voting rights at the UN general assembly.

The same is true at EU level. Most existing mechanisms for tax coordination impose rules on member states without any earmarking obligations. For example, there are restrictions on the set of VAT rates that member states are allowed to impose. Mostly, tax revenues are retained by member states. Small exceptions include the EU-wide plastic own resource that both addresses an international externality and contributes to the EU budget. However, most of the funding for the EU budget comes from GNI-based contributions and tax-based contributions (e.g. the required 0.3% of VAT tax base) do not (aim to) address tax competition or other under-taxation issues.

In the case of the EU, the separation approach might be motivated as follows. If the international public goods that the EU budget in part provides generate benefits that are roughly proportional to countries' GNI then funding them via GNI-based contributions (or VAT base contributions that themselves are roughly proportional to GNI) ensures that all countries are better off as a result, as long as the international public goods yield more than 1 EUR in aggregate benefits per 1 EUR spent on them, a condition synonymous with under-provision, which clearly is the case we are in.

Such exact proportionality between GNI and the benefits countries derive from additional EU spending is unlikely to hold in practice, which could explain the difficulty of agreeing on an expansion of GNI-based contributions. Likewise, some countries would not gain from EU-wide luxury taxes if the revenue were retained nationally. But if the countries opposing each of the two components — more EU spending, and more EU-wide luxury taxation — are not the same, the bundle may still garner unanimity.

9.2 Bundling to avoid aggravating other tax competition

A further argument in favor of the bundled approach embodied in the own-resource design is that, unlike the separated approach, it does not intensify competition on other, potentially hard-to-contract-on, tax instruments. Consider a separated approach under which an EU-wide minimum tax on luxury goods is adopted, with member states obliged to impose it but free to retain the revenue. Such a scheme would raise the value to each government of attracting, as fiscal residents, top earners who buy luxury goods, since the government would now collect the luxury tax on their purchases. The tax competition forces that depress top income tax rates in the EU (**??**) would thereby be intensified.

The own-resource design is very different: the new luxury tax revenue would create no strong additional incentive to attract high earners. Each government values a euro of revenue from the common luxury tax at much less than one euro, since it cannot retain that revenue and only a small share of the international public good benefits financed by EU spending accrues to it. Moreover, high earners who move to another member state still generate this revenue for the EU budget, further reducing any government's concern to attract them from elsewhere in the EU. As a result, the EU own resource design would not substantially aggravate top income tax competition within the EU, in contrast to the separated approach.

10 Domestic compensation

Throughout this report, we have focused on each country's economic interest at an aggregate level. We have argued that the proposed reforms could make each member state better off. This does not preclude some groups of workers in specific luxury sectors being made worse off. It is therefore important to combine the proposed reforms with domestic compensation schemes, so that ideally an overwhelming majority of the population in each member state gains. A detailed analysis of possible compensation schemes is beyond the scope of this report. However, we discuss some avenues for the different luxury sectors.

10.1

A European Digital Services Tax: The Case for an EU Instrument

Samuel Guerin

Profit shifting and tax optimisation specific to the digital sector enable digital companies to face a lower effective corporate income tax rate than companies in other sectors. In the EU, this gap is substantial and raises questions about the fairness of our tax system. The uncollected tax revenues also represent a significant amount of money that escapes Member States' budgets. Taxing those profits at source requires international consensus, but six years of OECD negotiations have failed to produce one. Several EU member states have turned instead to taxing digital revenues, a second-best instrument that is nonetheless administrable and politically tractable.

This report makes the case for replacing that fragmented landscape with a single EU-level instrument structured as an Own Resource: a 3% levy on digital advertising, intermediation, and user data revenues. The instrument acts as a proxy for the corporate income tax revenues that are not collected from digital companies, yielding approximately EUR 6 bn annually by 2028. In the same vein as the national Digital Services Taxes that it will replace, it is a temporary measure enacted to foster the international process towards profit taxation. A resolution on profit taxation that would ensure Member States receive their fair share of corporate income tax revenues, exceeding the DST revenues foregone. It also mitigates individual Member States' exposure to US trade pressure by leveraging a single Union-level stance.

The report also proposes a Pigouvian levy targeted at digital advertising to contribute to the repayment of NextGenerationEU, following a proposal by **?**. This instrument is designed to steer economic activity and technological development away from an attention-capture business model that generates documented externalities, including harm to individual mental health and threats to democratic discourse and excess advertising due to zero-sum competition between advertisers, We propose an initial tax rate of 15%, which would raise EUR 9 to 10 bn annually by 2028, as a first step towards the 50% tax rate proposed by Acemoglu and Johnson.

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1 The problem: the corporate income tax was not built for the digital economy

The digitalisation of the economy challenges our existing tax system. The system is based on the principle that companies are taxable where they maintain a sufficiently substantial physical presence. That doctrine was designed in the 1920s for an industrial economy and has not been revised in any structural sense since. Technology companies can generate billions in advertising revenues, intermediation fees, and user data monetisation from users in a country and shift profits via royalty payments and intercompany transfer prices to entities holding intellectual property in another country. Not only does this amount to a transfer of corporate income tax (CIT) revenues away from the places where value is created, but at a global scale, the revenue of CIT is lowered. The European Commission estimated in its 2018 impact assessment that digital companies operating in the EU face an effective corporate income tax rate of 9.5%, against 23.2% for traditional companies of comparable scale (**?**).[1]

These concerns led to growing calls for a reform of the international tax system. This led the G20 to mandate the OECD to develop solutions to address base erosion and profit shifting (BEPS). Following the completion of the OECD BEPS Project, negotiations continued within the OECD Inclusive Framework, which brings together more than 140 jurisdictions to further develop international tax rules. These negotiations culminated in the two-pillar solution. Pillar One aims, in particular, to reallocate taxing rights to market jurisdictions. It applies to the largest multinational enterprises, with global revenues exceeding USD 20 billion and profitability above 10%. Under its rules, 25% of residual profits (profits exceeding the 10% profitability threshold) are allocated to market jurisdictions in proportion to the revenues generated in each jurisdiction.

To establish the legal framework for Pillar One, the Multilateral Convention was designed to modify and, where necessary, supersede the relevant provisions of bilateral tax treaties. The text was finalised in October 2023, but the United States withdrew from the negotiations in January 2025, preventing the convention from being opened for signature. The co-chair statement of the Inclusive Framework acknowledged that the MLC text itself is stable but that unresolved issues prevent conclusion. No timeline exists.

A parallel process is under way at the United Nations, initiated by a large group of developing countries considering that the OECD framework did not adequately represent their interests. The UN General Assembly adopted the Terms of Reference for a Framework Convention on International Tax Cooperation (UNFCITC) in December 2023, opening an intergovernmental negotiation expected to run until 2027. The convention's ambition goes well beyond digital taxation: its goal is to establish a new architecture for the global distribution of taxing rights anchored on the source-based taxation principle. Protocol I of the convention addresses the taxation of income from cross-border services. Digitalised services are included, with a broader scope than that of the European DSTs already implemented and our proposal. As of mid-2026, the UN Framework Convention on International Tax Cooperation and its two first protocols on the taxation of income from cross-border services and on the prevention and resolution of tax disputes have been drafted and are being negotiated.

European DSTs emerged as a response to the slow pace of OECD negotiations. In March 2018,

[1] Figures based on modelled effective average tax rates (ZEW/PwC 2016 methodology). Pillar Two (Directive 2022/2523/EU, FY2024) establishes a 15 % floor but does not close the structural gap; no updated EU-wide estimate has been published.

the European Commission proposed a Digital Services Tax (DST) as a temporary measure pending an international agreement. Revenues from online advertising, digital intermediation services, and the sale of user-generated data would have been taxed at a 3 % rate for estimated annual revenues of EUR 4.7 to 6 billion for EU-28.

Under Article 113 TFEU, the proposal required unanimity. Ireland, Malta, and Luxembourg objected on grounds of corporate tax model compatibility, a structural opposition that reflects a preference for residence-based nexus and a concern that any market- or user-based allocation principle, once normalised for DST purposes, would migrate to the corporate income tax base on which its fiscal model depends. All three host major technology companies and preferred a multilateral OECD solution that would be less disruptive to their existing tax models. Denmark, Sweden, and Finland issued a joint statement arguing that any reallocation of taxing rights to user location should not be decided at EU level alone (**?**). Even a narrowed version limited to online advertising revenues, circulated by the Romanian Council Presidency in early 2019, failed to overcome these objections. The Council formally discontinued work on those proposals in March 2019. The episode nonetheless prompted a wave of unilateral national DSTs, and their proliferation aims to increase pressure to conclude Pillar One. Participating jurisdictions of Pillar One agreed to withdraw their DSTs upon implementation of the new agreement. The political standstill on new DSTs, maintained by OECD members as a confidence-building measure during the Pillar One negotiations, expired without renewal at the end of 2023. Countries are therefore no longer under a formal commitment to refrain from introducing or expanding DSTs. As those incentives weakened, the United States continued to pressure trading partners to abandon DSTs through the threat of trade and economic measures. Section 301 of the US Trade Act of 1974 authorises the executive to impose retaliatory tariffs on countries applying measures considered unfair to US commerce. In 2025, the proposed Section 899 of the One Big Beautiful Bill Act would have imposed higher withholding tax rates on payments to residents of countries imposing such taxes. Although removed from the final legislation before enactment, the threat alone was sufficient to secure diplomatic concessions. Throughout this period active investigations against France, Austria, Italy, and Spain run under Section 301.

The 2018 proposal was not pursued in the hope that the outstanding issues surrounding the taxation and allocation of profits would be resolved, particularly through the BEPS process. Pillar One ultimately failed to materialise, while national DSTs were introduced as a means of keeping international discussions alive and providing a temporary, albeit imperfect, response to the taxation of digital profits.

Much has changed since 2018. The digital sector has continued to expand rapidly, while the prospect of reaching an international agreement on the taxation of digital businesses appears increasingly remote. Section 301 actions, suspended in 2021 during OECD negotiations, were reopened by presidential memorandum in February 2025, leaving the introduction of retaliatory actions pending. Developing a European DST would therefore serve a dual purpose: maintaining pressure for the resumption of international negotiations towards a multilateral solution to corporate taxation, with the combined weight of 27 Member States, while providing collective protection against the risk of US retaliation.

The situation has fundamentally changed since 2018, and the European approach should reflect this.

The debate on digital taxation is embedded in a complex international framework, and a European DST is designed to address concerns that extend well beyond Europe's borders. It will change the relationship with major trading partners, and pressure should be expected. But the instrument also pushes for more global cooperation: by acting as a single bloc, the EU can demand a level of international alignment that no member state could claim alone.

2 National digital services taxes: the current landscape in the European Union

The European Council's failure to reach unanimity on the 2018 proposal by the Commission left member states with a choice: wait for an international agreement that remained uncertain, or act unilaterally. Several chose to act. France enacted the *taxe sur les services numériques* in 2019, triggering a wave of similar instruments across Europe. Seven years later, six jurisdictions have enacted DSTs, each with its own rate, scope, and threshold structure (Hungary's rate has been suspended at 0% since April 2026).

France, Italy, and Spain drew directly on the Commission's template, adopting the same three-category structure (advertising, intermediation, and user data) at a 3 per cent rate; France subsumes user data transmission within its advertising category rather than taxing it separately. Austria chose a narrower instrument: online advertising only, at 5 per cent. Hungary stands apart: its advertising tax dates to 2014, predates the DST wave, and originated as a progressive media levy with motivations that were as much political as fiscal. In parallel, the United Kingdom, acting outside the EU framework after Brexit, introduced a DST at 2 per cent in 2020 on advertising and intermediation revenues.

Country	Rate	Scope				Threshold (EUR M)		Revenue
		Ad.	Int.	Data	Stream.	Global	Domestic	(EUR M)
France (TSN)	6%	✓	✓	✓		750	25	756 (2024)
Italy (ISD)	3%	✓	✓	✓		750	—	637 (2025)
Spain (IDSD)	3%	✓	✓	✓		750	3	375 (2024)
Austria	5%	✓				750	25	124 (2024)
Hungary	7.5%[a]	✓				—	100	—
UK (DST)	2%	✓	✓			GBP m 500	GBP m 25	GBP m 944 (2026)

Sources: **?????**. [a] statutory 7.5%; suspended to 0%, April 2026.

Table 7: Digital services taxes in force, mid-2026

National DST revenues have proved stable and growing in the European Union. The UK's *Digital Services Tax* revenues rose from GBP 358 million in 2020–21 to GBP 944 million in 2025–26, a five-year compound annual growth rate (CAGR) of 21.4%, driven purely by the expansion of the digital economy as the tax rate has not changed since implementation. Italy's ISD grew from EUR 298 million (2022) to EUR 637 million (2025), a 113% increase over three years, accelerated by the January 2025 removal of its domestic revenue threshold. France doubled its rate from 3% to 6% in the 2026 finance law (**??**), motivated by fiscal need and mounting frustration with Pillar 1's collapse. Those cases show that DST receipts draw on two sources: the structural expansion of the digital economy, and changes to the instruments themselves. Such changes refelct a political position: a country raises its DST to build leverage and force progress toward an international agreement on the taxation of digital profits; it reduces or withdraws when bilateral pressure makes the instrument too costly to hold, or when a deal becomes mature enough to justify stepping back.

The same logic operates beyond Europe but in an opposite direction. Turkey reduced its rate from 7.5% to 5% in January 2026 and has scheduled a further cut to 2.5% from 2027 (**?**), using the rate trajectory as a diplomatic signal of readiness to step back. Canada implemented a 3% DST in June 2024 and rescinded it twelve months later under direct bilateral pressure from the United States (**?**). India abolished both of its digital levies in 2024 and 2025 (**??**), as a unilateral bet that OECD implementation would follow.

National experience shows that the instrument is administratively tractable: applied to a small number of large multinationals on a gross revenue base, it has proved collectible in practice, and high thresholds have consistently excluded SMEs from its scope.

The European Union framework is fragmented and evolving. The majority of EU member states levy no digital services tax and extract nothing from digital revenues generated in their territories, even as those revenues grow. Among those that do, each instrument sets its own thresholds, tax base, rate, and enforcement mechanism. Rates vary and definitions of "digital advertising" or "intermediation service" may differ across jurisdictions. For example, the same app distribution platform is a taxable intermediary in France and a non-taxable digital content supplier in Italy and Spain. The resulting divergence creates legal uncertainty and compliance costs for multinationals operating across member states. It also creates structuring incentives to escape those national instruments. Finally, individual member states implementing a DST have faced bilateral pressure without the collective leverage of the Union.

Beyond the instruments in force, Belgium's coalition government has committed to a 3% DST by 2027, contingent on the absence of EU or OECD consensus (**?**); Poland has a 3% proposal at legislative review; Slovakia published a formal proposal in August 2025; the Czech Republic has a 7% proposal stalled in parliament. EU member states demonstrate political will to tax digital services. The question is whether they do it in a fragmented national patchwork or through a coordinated EU instrument.

3 A European digital services tax

The proposed instrument is structured as an EU own resource under Article 311 TFEU: revenues feed the EU budget directly rather than national treasuries, and national tax administrations act as collection agents on the Union's behalf. This departs from the 2018 Commission proposal (**?**), which allocated revenues to Member States rather than to the Union budget. Three categories of digital services are covered: targeted advertising, intermediation, and the transmission of user data. A flat rate of 3 per cent applies to gross revenues before any deduction for costs, intragroup charges, or IP royalties. These three categories represent the sectors in which users are the source of value creation. Advertising platforms sell attention; marketplaces sell access to a buyer and seller base; data services sell records of user behaviour.

Targeted advertising. Advertising is targeted if the selection of which ad appears to a given user relies on data collected from that user's prior activity. The charge falls on the entity providing the placement service: where an intermediary places ads on third-party publisher interfaces, the intermediary's revenues are taxable and the publisher incurs no second charge on the same amount.

Intermediation services. The taxable service is the operation of a multi-sided digital interface through which users locate and interact with other users. The scope consists of matching platforms and marketplace platforms. The taxable revenues are fees charged for access, promoted visibility or data-based matching. For transactions, only the service fee is charged, not the value of that transaction.

User data transmission. The taxable service is the sale of data collected from users' activity on digital interfaces to a third party. The perimeter is narrow: only data collected from users' digital activity, transmitted to a third party, and in exchange for payment. Data used internally, shared without charge, or not originating from users' activity are all outside scope. In practice this is the smallest of the three categories. The dominant platforms primarily monetise behavioural data through advertising, already covered by the first category; an independent charge arises mainly for data broker activity where the aggregator and the advertising buyer are separate entities.

Nexus. Taxing rights attach to the EU for revenues derived from users located within the EU at the moment of the taxable interaction, identified by the IP address of the device. No permanent establishment or physical presence in any member state is required. The user-location principle has not been successfully challenged before any EU member state court since national DSTs entered into force in 2019, establishing a robust precedent for adoption at EU level.

Thresholds. The tax applies only to groups exceeding EUR 750 million in total worldwide revenues from all sources and EUR 50 million in DST taxable revenues within the EU. Both tests apply at consolidated group level, preventing threshold avoidance through corporate fragmentation.

Sunset clause. The instrument includes an automatic repeal on the date of entry into force of any international agreement on digital economy taxation, making it explicitly transitional.

4 Revenue estimates

Platforms only declare user-location revenues in countries already implementing DSTs: France, Italy, Spain, and Austria. Otherwise, revenues from digital services are booked by legal entity, typically in the jurisdiction where the operating subsidiary is registered, rather than where users are located. Pending the introduction of a European DST and the collection of such data, we estimate total revenues and allocate them across Member States using three publicly available proxies: IAB Europe national advertising market data, observed DST returns from the four countries already in force, and Eurostat demand-side surveys.[2]

Bottom-up calibration from DST returns We give an estimation based on IAB Europe's 2024 national data (**?**) together with revenues from already implemented DSTs, to provide a bottom-up estimate of the revenues that could be generated by an EU-wide DST. The EU-wide three-category

[2]Two new disclosure regimes improve the outlook. The EU Public CbCR Directive (2021/2101/EU) requires groups with revenues above EUR 750 million to publish revenues by EU member state from FY2024 onward. The GloBE Information Return, filed for the same threshold from 2026, contains jurisdiction-level revenue data for all in-scope groups, though it remains confidential between administrations. Together, these regimes will make a bottom-up estimation of M tractable for future work.

revenue base M is distributed among countries according to their respective shares of the European digital advertising market. We assume that intermediation fees and user data transmission revenues are proportional to advertising ones. Denoting A_i what advertisers spent in a market i:

$$R_i^{bu} = \tau \cdot \bar{k} \cdot A_i \tag{1}$$

France and Spain both operated a three-category DST at 3% through end-2025; their confirmed 2024 revenues at that rate are the natural anchors for $\bar{k}$.[3] With $A_{\mathrm{FR}} = \text{EUR } 11{,}209\,\text{M}$ and $A_{\mathrm{ES}} = \text{EUR } 5{,}501\,\text{M}$:

$$k_i = \frac{R_i^{\mathrm{obs}}/\tau_i}{A_i}, \qquad k_{\mathrm{FR}} = 2.25, \qquad k_{\mathrm{ES}} = 2.27 \tag{2}$$

The mean $\bar{k} = 2.26$ allows us to estimate revenues for every Member State and gives an aggregate of EUR 4,322 M for the whole EU-27.

The **?** estimated that a 3 % levy on in-scope revenues from online advertising and intermediary platforms would yield EUR 4.7 bn for EU-28; the United Kingdom accounted for approximately 30 % of that figure (**?**, Table 11, footnote 71), giving implied EU-27 revenues of EUR 3.3 bn. Scaled to 2024 using IAB Europe total European advertising market data with market growth from approximately EUR 61 bn in 2019 to EUR 87 bn in 2022 and to EUR 119 bn by 2024. Applied to the EU-27 base of EUR 3.3 bn, it gives a DST revenue actualized for 2024 of EUR 6.4 bn (Table 8).

The EU Commission's estimation is derived from Statista sector series. For advertising, this series tracks revenues earned by platforms from advertisers. For intermediation, the computation is based on the total value of transactions processed through platforms rather than the charged commission. The Commission's EUR 4.7 bn (EU-28) breaks down as EUR 0.8 bn for advertising (17 %), EUR 3.9 bn for intermediation (83 %) and user data transmission is thought to raise negligible amounts. Our method in contrast gives by construction a share of $1/k = 44\%$ for advertising. Applying the Commission top-down shares to France (approximately 10 % of EU-28 advertising, 14 % of EU-28 e-commerce) and Spain (9 % and 6 %) and scaling to 2024 implies revenues of EUR 1.2 bn and EUR 0.59 bn respectively. Actual 2024 DST revenues of EUR 0.756 bn for France and EUR 0.375 bn for Spain describe a lower return than the estimated ones from the Commission's document. Although our estimates yield lower revenues than those projected by the Commission, we anchor our estimates in the actual revenues generated by enacted DSTs, providing a more credible assessment of the revenue potential.

The principal weakness remains that market data record where revenues are invoiced rather than where users are located, overestimating revenues from countries with large subsidiary operations (Ireland, the Netherlands, Sweden) and understating them in large consumer markets such as Poland and Romania. Another drawback is that our method does not account for different mixes in the digital economy of member states.

Consumer-location reallocation We propose here to reallocate by Member States with demand-side weights using each country's share of online buyers in the EU-27 found in Eurostat's survey (**?**) (individuals aged 16–74 ordering online in the last three months, multiplied by national population). It uses the same EU-27 aggregate as the bottom-up estimation but applies a different allocation key. The key matches the intermediation nexus directly; for the advertising category, the correct variable would be ad impressions by device location, which is not publicly available. Online buyers are the best available public proxy for the intermediation category; for the advertising component,

[3] France doubled its rate to 6% in the 2026 finance law; the calibration uses 2024 data collected at 3%.

the relevant dimension is ad impressions by user location, which the purchasing-activity variable does not capture.

Table 8 presents member-state estimates under both methods. The consumer-location reallocation applies a different allocation key to the same bottom-up aggregate; by construction, both methods yield an EU-27 total of EUR 4.3 bn. Their discrepancy at country level reflects the gap between booking geography and user geography, not a difference in the estimated total.[4]

Member state	**Bottom-up**	**Consumer-location reallocation**	**Confirmed**	**Revenue estimates**
	calibr./2024	*Eurostat/2024*	*admin.*	*proj.*
Austria	148	105	124[a]	143
Belgium	82	148	—	201
Bulgaria	8	28	—	38
Croatia	12	34	—	46
Cyprus	—[b]	12	—	16
Czech Republic	118	131	—	178
Denmark	116	79	—	108
Estonia	10	17	—	23
Finland	60	71	—	97
France	760[c]	797	756	1,084
Germany	1,213	719	—	978
Greece	25	67	—	91
Hungary	51	103	—	140
Ireland	72	71	—	97
Italy	400	343	637[d]	467
Latvia	9	20	—	27
Lithuania	11	30	—	41
Luxembourg	—[b]	7	—	10
Malta	—[b]	5	—	7
Netherlands	293	245	—	333
Poland	192	365	—	497
Portugal	38	101	—	137
Romania	13	99	—	135
Slovakia	17	56	—	76
Slovenia	6	24	—	33
Spain	373[c]	505	375	687
Sweden	270	140	—	190
EU-27 total	**4,322**	**4,322**	**1,891**	**5,880**

(continued on next page)

[4]Public country-by-country reports under Directive 2021/2101/EU will allow a direct platform-level cross-check once FY2025 filings are published; the first mandatory disclosures for calendar-year companies are due by end of 2026.

(continued)

Member state	Bottom-up	Consumer-location reallocation	Confirmed	Revenue estimates

[a] Austria scope incompatible (advertising-only at 5%). [b] Cyprus, Luxembourg, and Malta are only aggregated in the IAB Europe AdEx Benchmark. They collectively account for EUR 24 M in the EU-27 total. [c] France and Spain are the anchors for this estimation method. [d] Italy 2025 exceeds the estimates due to threshold removal.

Table 8: Revenues estimates for a three-category DST by method and by member state (EUR m, 3% rate)

Austria (5% advertising-only, EUR 124 M) gives $k_{\text{AT}} = 1.13$, consistent with a single-category instrument, the residual gap above unity reflecting the broader legal definition of taxable advertising revenues relative to IAB survey coverage; Italy's 2025 figure implies $k_{\text{IT}} = 3.30$, inflated by the January 2025 threshold removal. France and Spain remain the preferred anchors. Three countries preparing DST legislation have published official revenue projections. The Czech Ministry of Finance projected CZK 5 bn per year at steady state under a 7 % rate (?); adjusted to 3 %, that gives EUR 86 M, against our estimate of EUR 118 M for 2024. Poland's government-commissioned study projected PLN 1.7 bn per year at 3 % (?), revised to PLN 2.5 bn in the July 2026 regulatory impact assessment (?), or EUR 400 to 590 M against our estimate of EUR 192 M. Slovakia's government cited EUR 30 to 100 M per year (?) against our estimate of EUR 17 M. The Czech figure is close to our estimate once updated for five years of digital market growth since the 2019 projection. The Polish and Slovak projections exceed ours substantially; both official estimates cover a broader revenue base than the advertising market alone, which accounts for the discrepancy.

The last column projects each member-state estimate to the first full year of MFF 2028–2034 operation. The projection applies a baseline CAGR of 8%/yr to the base collected in the second colomn. This rate is derived from Statista Market Insights forecasts for EU digital services markets (?), against a historical 2022–2024 rate of approximately 17%/yr that reflected post-Covid recovery. At this rate the EU-27 total reaches EUR 5.9 bn in 2028. The two allocation methods diverge at country level. The bottom-up estimate weights by IAB national advertising market shares: Germany, with the largest digital advertising industry in the EU, ranks first. The consumer-location reallocation weights by Eurostat online buyer counts: France, with the largest online buyer population, ranks first. Germany remains first under the consumer-location reallocation but falls from EUR 1,213 M to EUR 715 M; its large advertising market reflects B2B and industrial spend with a proportionally smaller consumer buyer base. Poland and Romania rise substantially under the consumer-location reallocation; Sweden and Denmark fall.

Both methods share the same EU-27 aggregate by construction (EUR 4.3 bn); only the distribution across member states differs.

Both methods are proxies for the taxable base. The bottom-up estimate follows IAB advertising market shares, a variable that reflects advertiser demand and correlates with user location but is also influenced by the size of each country's corporate advertising sector; Germany illustrates this, with a large advertising market that reflects B2B and industrial advertising intensity, not simply user volume. The consumer-location reallocation follows Eurostat online buyer counts, a consumer-side variable that more directly measures where users transact across the three taxable categories. For an instrument whose nexus is user location, the consumer-side proxy is the more internally consistent choice. Neither is a direct measure of taxable revenues; the consumer-location reallocation is the best available public approximation.

5 Effects and leverage of an European DST

5.1 Practical viability

Two questions are central to the practical viability of a DST: who ultimately bears the tax, and whether firms can reduce their exposure by restructuring. The first determines how the tax affects the wider economy, while the second determines whether firms can avoid or significantly reduce the intended tax burden. Six years of national experience alongside recent academic work on platform taxation shed light on both.

Langenmayr and Muddasani (?), using Amazon's Fulfilled by Amazon fee schedules across France, Spain, Italy, and the United Kingdom following each DST introduction show that platforms do not necessarily absorb the tax. In France, Spain and the UK, 80 to more than 100% was passed on in fee increases to third-party sellers. Italy is the exception: fee increases there were small and not statistically significant. In contrast, Google applied a 2.5 per cent operational surcharge to advertising services (?) following Italy's DST introduction. The divergence across countries and companies suggests that pass-through is a commercial decision rather than a structural one.

For the online advertising market specifically, Lassmann et al. (?) provide the closest empirical test. They use Facebook's 2016 shift from local-entity to Ireland-headquartered revenue booking as a quasi-natural experiment: where effective corporate tax rates rose as a result, ad prices rose and advertisers bore the cost, consistent with a model in which platforms maintain their pre-tax margin and pass tax costs through to advertisers.

Experience shows that the tax is not borne by platforms. It is passed to the businesses that depend on them, marketplace sellers and advertisers, many of them SMEs, and from there in part to end consumers. This is a genuine design constraint for a gross-revenue levy. It characterises every national DST already in force and the same is expected of the proposed EU instrument.

Restructuring is limited in scope. Firms can reclassify revenue streams or adjust intragroup allocations, but they cannot move users to another country. National experience confirms this: revenues in all four countries grew consistently after introduction, and digital advertising spend grew at rates comparable to non-DST markets (?). On revenue stability, a tax on revenues is less sensitive to the business cycle than a tax on profits. Corporate income tax receipts can fall sharply in a downturn; digital activity and user engagement tend to be more resilient. The consistency of DST receipts in France, Italy, Spain, and Austria since introduction supports this (?).

5.2 Fiscal contribution

The EUR 5.8 bn aggregate carries different fiscal significance depending on whether a member state already operates a national DST. For the majority that do not, the levy generates genuinely new public revenue from a sector that currently contributes far less in corporate income tax than other sectors. Most Member States would for the first time see revenues from digital services in its territory contribute to a common EU instrument.

For the four member states already levying a national DST, the EU instrument does not produce additional revenue at the consolidated public-sector level: it replaces existing national receipts with an EU-level equivalent. Seven national regimes currently coexist, each with its own rate, scope definition, and nexus rule; companies serving users across multiple member states file separately under each, creating compliance costs and exploiting definitional gaps to reduce their effective burden. A single EU directive with one consolidated revenue base replaces that patchwork, reducing compliance costs for in-scope companies and eliminating the scope arbitrage that divergent national definitions enable (?).

5.3 Collective leverage

The shift from individual member-state action to a collective EU instrument changes the strategic position of European governments vis-à-vis the United States in a way no single state acting alone can replicate.

France, Italy, and Austria face investigations under Section 301 of the Trade Act of 1974, which threatens retaliatory tariffs on the DST country's goods exports (??). With separate national instruments in force, the United States can exert pressure on countries one after another, by negotiating with each of them in turn. A single EU instrument closes this avenue as the Commission becomes the sole interlocutor acting under the EU's exclusive competence in common commercial policy. It becomes the guarantor of the collective decision to defend or withdraw that no individual member state could override unilaterally.

The 2025 Section 899 episode confirms the leverage differential (?).[5] Section 899's threat alone, before enactment, produced the G7 "shared understanding" of 26 June 2025 and the subsequent OECD side-by-side package. Section 301, relaunched in February 2025 and escalated to a 100% tariff threat in June 2026, has produced no DST withdrawal in Europe. Canada's repeal in June 2025 is the single exception: it was driven by direct bilateral negotiation pressure on a country without the EU's collective trade architecture (?).

6 Feasibility

6.1 Legality

Article 311 TFEU gives the Council the authority to establish new own resources whose proceeds accrue directly to the EU budget. This requires unanimous approval by the Council, followed by ratification by all Member States. The plastics-based own resource, in force since January 2021, was adopted through this route. A second route adds a prior reliance on Article 113 TFEU. Article 113 provides the legal basis for establishing a common tax design administered by national authorities, after which Article 311 provides for the allocation of the proceeds to the EU budget. The adoption of the VAT-based own resource followed this architecture. The combined route provides a more established legal framework for the tax design, but requires an additional unanimous Council decision for the directive alongside the own resources decision, which must be ratified by all member-state parliaments. The Commission's 2018 DST Directive (?) relied on Article 113 alone, with revenues accruing to Member States. The combined route has not yet been tested for a European digital services tax, but appears legally feasible.

[5]Section 899 of the proposed US tax code amendment (included in the House version of the "One Big Beautiful Bill Act", May 2025) would have imposed elevated withholding tax rates on payments to residents of countries with "discriminatory" foreign taxes against US companies, including DSTs. It was removed from the Senate version before enactment but its threat alone produced diplomatic movement.

6.2 Member state support

The 2018 proposal (COM(2018) 148) failed at ECOFIN in March 2019 after reservations from Ireland, Luxembourg, the Netherlands, Denmark, Finland and Sweden, each citing a preference for an OECD solution over a regional instrument. Several governments have explicitly conditioned their national position on the absence of an EU or OECD solution. With Pillar One stalled indefinitely, a collective EU instrument is the next available rung on the same ladder of preference for the broadest multilateral framework. The Netherlands stated in 2023 that "an EU DST should be considered as an alternative to Pillar One, Amount A if a global agreement is not reached". Belgium's coalition agreement of January 2025 commits to a 3 % national DST by 2027 in the absence of EU or OECD consensus (?). Slovakia's ministry of investment, regional development and informatization proposal of August 2025 uses identical framing (?). Germany, the largest potential revenue contributor under any EU instrument, has not opposed an EU-level instrument. France, Italy, Spain, and Austria introduced national DSTs only after EU-level negotiations collapsed in 2019, and in October 2021 all four signed a formal commitment to replace those national instruments with the OECD Pillar One solution once in force (?). Poland introduced a 1.5 % audiovisual digital tax in 2020 (?) and proposed a broader 3 % DST in January 2026 (?). In March 2025, the US Ambassador-designate publicly stated that the proposal was "not very smart" and that "Trump will reciprocate" (?) but Poland's government publicly reaffirmed the plan.

Denmark and Luxembourg have moderated their stance since 2018. Sweden and Finland have not made any clear recent public statements on the issue. Both co-signed the 2018 joint statement with Denmark calling for a global solution; the question is whether they will follow Denmark towards a more open position. Their opposition could may also reflec broader concerns about new EU own resources on grounds of fiscal sovereignty. Sweden's Finance Minister has described the expansion of own resources as completely unacceptable, while Finland's concerns have centred on the implications for competitiveness and the attractiveness of the country to technology investors. Their objection therefore concerns the EU budget architecture rather than the tax design itself, and reflects a broader concern in discussions on the EU budget. This has to be addressed in the broader context of the other options for new own resources, including the possibility of reducing GNI contributions and thereby balancing Member States' contributions across the overall EU budget.

Some Member States may have some concerns regarding the implementation of a user-location nexus established at EU level. By hosting an important share of the profits of multinational companies (?), these countries derive a significant part of their corporate income tax revenues from such activity. Malta's Prime Minister Abela declared before its national Parliament in June 2026 that Malta would block any EU-wide tax as an own resource under any circumstances (?). Ireland has long maintained an unsupportive position, though recent developments show some signs of openness. Taoiseach Martin described an EU digital levy as "challenging" at a joint press conference on 28 July 2026 and called for the EU to "tread carefully." Those concerns should be addressed within the broader MFF negotiation, demonstrating that the burden can be shared fairly among Member States when the full package is considered. It is an opportunity for the EU to reaffirm its support for all countries in adapting towards an economic model that better serves common prosperity.

6.3 Public opinion backing

Public opinion reinforces the procedural mandate. A Flash Eurobarometer conducted across all 27 member states in April 2025 found that 80 per cent of EU respondents agreed that large multinational companies should be required to pay a minimum amount of tax in each country where they operate (44 per cent strongly, 36 per cent somewhat); the range across member states ran from 67 per cent to 87 per cent, with no country below a majority (?). A Kieskompas poll conducted in November 2018, as reported by the S&D Group in the European Parliament, found more than 80 per cent of respondents in France, Germany, the Netherlands, Denmark, Sweden, and Austria in favour of a fair tax on technology companies (?). A more recent EU-wide survey found 39 per cent in favour of an EU-level digital levy, 29 per cent preferring national-level action, 21 per cent with no opinion and 11 per cent opposed to any such measure (?). Taken together, the two surveys show that more than two thirds of respondents supported taxing digital revenues in some form.

6.4 Civil society organisations and trade unions

Civil society organisations have broadly supported the case for taxing digital revenues. The Tax Justice Network (?) has called for stronger taxation of digital revenues, and Oxfam (?) criticised the Commission's 2018 proposal as insufficient in scope. The European Trade Union Confederation endorsed the original 3 % proposal in 2018 as a temporary step in the right direction pending a broader harmonised corporate tax base (?). In April 2026, a coalition of development, humanitarian, and climate organisations backed the European Parliament's call for new own resources to include a digital services levy, framing it as a condition for adequate MFF financing (?). Organised opposition has come from industry associations: the Computer & Communications Industry Association has consistently characterised DSTs as discriminatory gross-revenue levies and estimated that EU member-state DSTs extracted USD 3.6 bn from its members in 2025 (?). Corporate Europe Observatory found that technology companies spent a record EUR 151 million lobbying EU institutions in 2025, a 34 % increase since 2023 (?).

7 Principal objections answered

The US will retaliate.

Section 301 investigations are already active against France, Austria, Italy and Spain; the question is not whether to incur retaliation risk but how to manage it.

A fragmented set of national DSTs is weaker than a collective instrument, where the defence of the measure can be coordinated at EU level. Canada's repeal of its DST in June 2025 under direct bilateral pressure is a clear illustration (?).

The 2021 termination of those actions without a single DST withdrawal (?) showed that the threat carries a political cost for the US as well: imposing 25 % duties on French wine and Italian handbags to discipline a tax on Google is disproportionate, and the Biden administration did not follow through.

In 2025, tensions remain high, but the evolution of the political context complicates the US's ability to follow through on retaliation.First, the Supreme Court struck down the administration's primary broad tariff authority, the International Emergency Economic Powers Act, by 6–3 on 20 February 2026 (?): any tariff imposed on DST grounds must now go through Section 301's formal investigation process, which carries a statutory timeline of up to twelve months, rather than the "immediate" imposition Trump threatened on 26 June 2026 (?). Second, Section 899, the legislative mechanism designed to penalise foreign DSTs by raising withholding taxes on investors from designated jurisdictions, was stripped from the One Big Beautiful Bill Act following a G7 diplomatic exchange on Pillar Two in June 2025 (?); Wall Street lobbied separately against a provision that risked deterring the $19 trillion in foreign holdings underpinning US capital markets (?). The DST grievance that Section 899 was designed to address was not itself resolved by that exchange, but the instrument is gone. Third, the political cost of tariff-driven consumer price increases is becoming increasingly difficult to sustain. Senator Cruz described the tariff burden as "the single biggest determinant" of the Republican party's performance (?).

The instrument will be successfully challenged as discriminatory.

The legal risk is that a tax falling overwhelmingly on US companies could be challenged as discriminatory under the General Agreement on Trade in Services (GATS). Article II requires each WTO member to treat all other members' services and service suppliers equally, while Article XVII requires it to treat foreign suppliers no less favourably than domestic ones. The objection has been anticipated in the design. The EUR 750 million global revenue threshold is a size criterion and not in itself discriminatory: European companies meeting it are in scope on the same terms. Booking.com, Just Eat Takeaway, and Spotify approach or meet that level, making their presence in scope both an inconvenience for some Member States and a legal asset for the instrument.

Taxing rights follow user location, a principle derived from the OECD's own user value creation framework under BEPS Action 1. An instrument taxing revenues generated by serving users in a territory, and applying identically to any company serving those users, is therefore difficult to characterise as a measure directed at foreign companies. No company has overturned this principle before any EU member state court in five years of operation.

DST member states would transfer revenues from their budgets to Brussels.

A Member State operating a national DST would transfer that revenue stream to the EU budget. From a purely budgetary standpoint, the burden on national budgets could be lowered through reductions in GNI contributions during the MFF negotiations. If this reduction were set to compensate exactly for the national revenue loss, the overall EU budget would still see a gain. Furthermore, collective leverage against US threats and greater fiscal uniformisation are additional benefits that could further balance national intesrests.

8 Extensions

The ultimate extension of the European DST would be its eventual phase-out following an international resolution of the under-taxation of digital companies' profits. Possible avenues include the resumption of the Pillar One process and further advances in the UN tax convention process.

Extensions to the levy itself serve a dual purpose: they raise EU revenues, and by demonstrating that the Union can deepen its digital tax architecture without a multilateral agreement, they once again create incentives for trading partners to resume the negotiation process. The three-category instrument represents a conservative starting point.

Two extensions merit consideration once the core instrument is established. **Rate.** At 3%, the three-category base yields approximately EUR 6 bn by 2028. The instruments already in force include rates of 5% (Austria), 6% (France), and 7.5% statutory (Hungary). At 5%, the EU-27 yield scales proportionally to approximately EUR 10 bn; at 6%, matching the current French rate, to approximately EUR 12 bn.

New categories. Thomadakis (?) identifies cloud computing services as a fourth major category of digital value extraction, one expected to grow at the highest rate of any digital revenue stream. The present design does not reach cloud infrastructure, software-as-a-service subscriptions, or AI inference APIs sold to EU-based customers. Extending to these services would follow the same EU-user nexus logic as the existing three categories and raise the tax base materially, while requiring careful legislative drafting to prevent double-counting with existing intermediation revenues.

9 A Pigouvian advertising levy

9.1 The external cost of digital advertisements

We saw in Section 5.1 that pass-through of DST to clients of big digital companies is important. The tax is borne by downstream market participants, final clients and companies paying for ads. Platform profits remain unaffected. This partial failure, however, opens a different reading of the instrument's value. The economic impact falls partly on digital advertising, a sector with documented externalities. This is exactly the economic impact on this sector that makes this instrument valuable.

Criticism of advertising is not new: economists have long argued that competition for consumer attention is a zero-sum game generating socially excessive advertising expenditure (?). But as the sector is booming, an entire attention economy has been developed. More and more energy is invested in keeping people captive on platforms and in presenting them with ads skillfully engineered for them. Artificial Intelligence will make this even easier to implement and will amplify such externalities in a hardly predictable manner. We describe three categories of documented externalities, following Acemoglu and Johnson (?).

Platforms optimize for engagement through emotionally charged content. Outrage and indignation are the most effective levers to generate strong engagement and condition users to engage in purchases with a higher success rate. This has documented effects, particularly among young people, in terms of mental health, addiction, body image, self-harm, eating disorders, sleep disturbances and bullying. Users bear these harms without viable exit: network effects bind them to platforms where their social life is. Platforms choose network architectures showing content only to users who are predisposed to agree with it. Platform algorithms optimized for engagement tend to amplify polarizing and misleading content within communities of users who share the same biases, with documented effects in terms of radicalization and misinformation (?).

Consumers must be profiled so that ads fitting their characteristics can be presented to them. The distribution algorithms are fed by data also obtained by monitoring user behaviour. Advertisers pay for access to users' attention. Users pay with their time, their cognitive engagement, and their data. Acemoglu and Johnson (?) argue that the advertising revenue ecosystem incentivizes valuable engineering and artificial intelligence talent to concentrate on surveillance, engagement maximization, and the automation of human interactions. Such human capital could instead contribute more to global well-being if it were directed toward supporting workers and improving productivity.

Digital advertisements also distort market structure. Targeted advertising strongly influences consumers' willingness to pay by leading them to overestimate the quality of a particular product. Even if not all consumers are affected in the same way, the fact that some are weakens price competition: margins and prices for artificially differentiated products rise. Competition between platforms should, in theory, drive prices down and improve user well-being, but this is not the case. Economic actors are not encouraged to improve their products but rather to maintain a high ad load without losing their unsuspecting users to a competitor.

Acemoglu and Johnson propose a rate of 50 per cent to force a structural switch away from advertising-dependent business models entirely. Their argument is not derived from a precise measurement of marginal external cost. Like tobacco excise taxes, the rate is calibrated to change behaviour: the harm is documented and large and the market will not self-correct. A price signal strong enough to alter incentives is the appropriate instrument.

National DSTs already in place at 3 per cent were not designed to internalise negative externalities. On the contrary, little market change was observed. At 15 per cent, the relative attractiveness of subscription-based alternatives shifts enough to matter. We propose to start at 15 per cent to open at a politically tractable entry point with a clear signal that the trajectory is escalating. The rate should rise as the instrument demonstrates its effects, the evidentiary case matures, and the political conditions for a more ambitious target develop. This is more an incentive to build different business models than a revenue instrument. Nonetheless, this section develops that instrument as a standalone EU own resource. The levy presented here is independent of the three-category DST presented above, a separate option for a Union with the ambition to steer its economy toward collective welfare. The advertising revenue base of the Pigouvian levy overlaps with the first category of the DST; the two instruments are best understood as sequential options, and their simultaneous application would bring the combined levy on digital advertising to 18 per cent, a rate close to the Pigouvian-only target.

Structured as a standalone EU own resource, the instrument follows the Article 311 TFEU route set out in Section 6.1: unanimous Council approval and ratification by all member-state parliaments. Unanimity takes on a different character in this case, as the main objections are less about structural than about the economic effects and policy rationale of the levy. The instrument does not seek to reallocate taxing rights between Member States, but to correct documented negative externalities associated with the attention-based digital advertising model. This is a common objective that can be pursued collectively at EU level, contributing to the instrument's political feasibility. The experience of the ETS shows that the EU can adopt ambitious Pigouvian instruments if the externality is quantifiable and if the policy is phased in gradually.

9.2 A digital ad tax at 15 %

The EU-27 digital advertising market reached EUR 63.4 bn in 2024, measured by the IAB Europe AdEx Benchmark (?). The market is highly concentrated: Google (Search and YouTube), Meta, and Amazon together account for approximately 75 % of revenues. We propose a threshold of EUR 100 M in annual EU advertising revenues, derived from the USD 500 M threshold proposed by Acemoglu and Johnson (?), scaled to the EU digital advertising market, which represents roughly one quarter of the United States market by revenue. This excludes the long tail of smaller publishers and ad-tech intermediaries and reduces administrative burden without protecting the platforms whose business models drive the documented harms. A revenue-from-advertising nexus, rather than a global turnover threshold, also makes the instrument harder to characterise as targeting a specific set of US firms: any platform generating EUR 100 M in EU advertising revenues falls within scope regardless of corporate origin.

The pass-through analysis in Section 5.1 was based on data from the digital advertising sector. For revenue and price estimation, full pass-through is assumed, though the actual incidence may be lower or may involve over-shifting. Under a standard constant-elasticity demand function $Q \propto P^{\varepsilon}$, net tax revenue becomes:

$$T = \tau \cdot B_0 \cdot (1+\tau)^{\varepsilon}$$

where B_0 is the pre-tax advertising base.

There is limited empirical evidence on the elasticity of demand for digital advertising in the literature. In **?**, DST surcharges are studied across 29 EU countries using a Google Ads panel covering 2018–2022. The study finds that platforms passed the tax through to advertisers almost entirely, supporting the full pass-through assumption used in the formula above. Advertiser demand adjusted only marginally, supporting the relatively inelastic end of the elasticity range considered below. In **?**, an elasticity of $\varepsilon = 0$ is assumed for digital advertising at a 3 % rate, based on budget rigidity and the absence of close substitutes. A perfectly inelastic response seems difficult to sustain at a 15 % rate. In the absence of a credible empirical estimate, we consider a range of $\varepsilon \in [-1.5, -0.5]$ to provide a plausible allowance for non-zero elasticity, consistent with the limited response observed at lower tax rates. Table 9 presents the resulting revenue estimates.

		Rate: 15 %		*Rate: 50 %*	
Scenario	ε	Net rev. (EUR bn)	Vol. red. (%)	Net rev. (EUR bn)	Vol. red. (%)
Low response	−0.5	10.3	6.7	29.9	18.4
Central	−1.0	9.5	13.0	24.4	33.3
High response	−1.5	8.9	18.9	20.0	45.6

Table 9: Net revenue and advertising volume reduction at 15 % and 50 % levy rates, EU-27 digital advertising (2028)

The revenue shortfall relative to the static baseline is the mechanism at work, not a cost to minimise: reduced advertising spend means fewer resources devoted to attention maximisation, while EUR 9 to 10 bn in annual revenues at 2028 market size is an appreciable by-product of this correction.

Table 10 distributes the central-scenario yield across EU member states, applying the 85 % in-scope share (platforms above the EUR 100 M threshold) to the 2024 IAB Europe country figures (**?**) projected to 2028 at an 8 % annual CAGR. The tax formula at $\varepsilon = -1.0$ reduces to $\tau/(1+\tau)$ times the in-scope base.

Member state	**Revenues (EUR m)**	**‰ GNI**
Germany	2,700	0.54
France	1,691	0.48
Italy	891	0.36
Spain	830	0.48
Netherlands	652	0.54
Sweden	601	0.83
Poland	427	0.49
Austria	330	0.57
Czech Republic	263	0.72
Denmark	258	0.53

(continued)

Member state	Revenues (EUR m)	‰ GNI
Belgium	184	0.25
Ireland	160	0.33
Finland	133	0.40
Hungary	113	0.50
Portugal	84	0.28
Greece	54	0.20
Slovakia	37	0.26
Luxembourg[a]	32	0.43
Romania	30	0.08
Croatia	26	0.28
Lithuania	24	0.26
Estonia	21	0.44
Latvia	20	0.36
Bulgaria	18	0.15
Cyprus[a]	17	0.45
Slovenia	14	0.17
Malta[a]	10	0.46
EU-27	**9,616**	**0.45**

[a] Cyprus, Luxembourg, and Malta are not covered individually by the IAB Europe AdEx Benchmark. Advertising market size estimated by GDP share relative to the EU-24 IAB aggregate (GNI for Luxembourg, to exclude the cross-border worker distortion on GDP); source: Eurostat `nama_10_gdp`, 2023.

Table 10: Pigouvian advertising levy: per-member-state yield at central scenario, 2028

9.3 International positioning

A Pigouvian advertising levy operates on entirely different legal ground from the OECD framework. It targets externalities generated by the attention-capture business model, not the profit-shifting that Pillar Two addresses; the two instruments are complementary and do not interact. It is an excise on an externality-generating activity, not a digital services tax, and Pillar One repeal commitments do not apply. No multilateral negotiation is required or sought: the externality rationale is self-standing, and the EU is not conditioning the instrument on an international process.

Governments were pressed under Section 301 in 2025 because their instruments fell predominantly on a small set of US-headquartered platforms (**?**); a Pigouvian advertising tax grounded in documented externalities, with a threshold of EUR 100 M set by market concentration rather than national origin, does not meet that discrimination standard. Section 899 remains a threatened fallback following its removal from the One Big Beautiful Bill Act; a genuine externality rationale makes the instrument harder to classify as an "unfair foreign tax," and the EU's collective legal standing under the Trade Enforcement Regulation raises the cost of any retaliation substantially above what individual member states face (**?**). A threshold defined by size rather than national origin and a legislative preamble documenting the externality rationale are the design choices that matter for both defences.

The instrument does not require international coordination to operate. Acemoglu and Johnson (?) nonetheless call for G7 harmonisation of such a levy. An EU-level introduction would constitute the European contribution to that process, and evidence that a tax instrument can redirect the digital economy away from attention extraction and toward applications that genuinely serve users.

Many sectors seem to be aware of the problem. On the public side, there is a documented demand for companies to take greater responsibility for algorithms they manage and the harm they cause (??). The academic community has also taken up the issue; leading economists are identifying the problem and proposing converging approaches to address it: Pigouvian taxes (????). On the government side, no Pigouvian advertising tax has yet been adopted at the national level, though the direction is becoming visible: France's Treasury officially quantified the externalities due to the "attention economy" at 2 to 3 GDP points (?), the European Parliament voted 545 to 12 for a regulatory framework targeting engagement algorithms (?), and the State of Illinois enacted in June 2026 the first digital advertising tax with an explicit mental health rationale (?). This could be a first for the EU and could pave the way for international cooperation on the subject (?).

Conclusion

Six years of international efforts have yielded no results on the issue of taxing digital companies multilaterally, leading the landscape of digital services taxes to take shape around national initiatives. This currently results in coverage gaps across the European single market. We propose for the EU to establish a digital services tax on revenues. It is designed to be repealed as soon as international regulations have been adopted and implemented. With its DST, the EU is not simply waiting passively for better legislation; it is calling on other countries to return to the negotiating table regarding an agreement on profit taxes.

We also propose a tax on digital advertising, justified by the sector's negative externalities. The explicit goal is to shift the dynamics of this economic sector towards a direction more conducive to the common good.

The political challenges are real. Unanimity may appear difficult to achieve with diverging structural interests. This is not unique to the instruments proposed here: most options for new EU own resources have supporters and detractors among Member States and no single instrument suits every Member State equally. This diversity of interests calls for dialogue and convergence towards a common project, rather than for any single instrument to be considered in isolation. The MFF negotiations provide a natural forum for weighing the different constraints and interests together across the range of proposals. Considering different options in combination can create the room needed to build a balanced mix of own resources that reflects the interests and concerns of all Member States. The two options presented here feed into this broader discussion.

These proposals go beyond a simple budgetary plan by contributing to European unity, building a global positioning at the international level, and steering the Union's economic policy in a direction that reflects collective priorities. From a budgetary perspective, both of our options will contribute to the repayment of NextGenerationEU: approximately EUR 6 bn for the first, and EUR 9 to 10 bn for the second.

Bibliography

Financial Transaction Tax

Gunther Capelle-Blancard

This annex argues that an EU-wide financial transaction tax (FTT) could be a workable component of a package of new own resources, provided it is designed narrowly and pragmatically. The proposal is not to revive the broad 2011–2013 European FTT, which proved politically fragile. Instead, it proposes a pragmatic equity transfer tax, modelled on instruments already in force in major financial markets, including the UK stamp duty and the French, Italian and Spanish FTTs, as well as comparable instruments outside Europe. These examples show that a well-designed FTT can be implemented in open, sophisticated and highly internationalised financial markets without undermining their functioning.

The proposal is to introduce a harmonised EU tax on transfers of ownership of shares issued by companies incorporated in Member States, at a rate of 0.5%, in line with the UK stamp duty. Primary market issuance and genuine market-making activities could remain exempt, as in existing national schemes. The tax would be based on a robust legal and operational design: it would be attached to the security itself, rather than to the location of the broker, the trading venue or the investor. This is the key lesson from existing FTTs: such taxes can work, but only if they are carefully designed so as to limit avoidance and ensure enforceability.

This narrower design is precisely why the proposal may be more feasible than earlier European attempts. It avoids the most contentious elements of the former Commission proposal, notably the taxation of bonds, derivatives, foreign-exchange transactions and all gross intraday transactions. The present proposal therefore does not seek to reopen the full debate on a comprehensive European FTT. It focuses instead on the most operationally tested component: an issuance-based tax on equity transfers, while leaving broader extensions, in particular the taxation of intraday transactions and other securities transactions, for a later stage.

Under conservative assumptions, the proposed EU equity transfer tax would raise approximately EUR 6.5–8.3 billion per year. The revenue estimate is deliberately very prudent. It does not rely on speculative assumptions. Instead, it is anchored in the observed performance of the French FTT in 2024 and then applied to equity trading volumes in other Member States. This approach incorporates, by construction, the existing exemptions, leakages and the narrow effective tax base observed in France, including the exclusion of intraday transactions.

In sum, an EU equity transfer tax would be theoretically grounded, technically feasible, fiscally useful and fair. It would not solve all budgetary challenges, and it should not be oversold. But as one component of a broader package of new own resources, it has a strong comparative advantage: it is based on a tested instrument, it targets a highly concentrated and undertaxed tax base.

The following sections provide the detailed background supporting this proposal. They first present the design and rationale of the equity transfer tax, before reviewing existing national policies

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[11] Potsdam Institute for Climate Impact Research (PIK).

and the earlier European FTT project. They then set out the revenue-estimation methodology and Member State-level results, respond to common objections, review public opinion, and finally discuss possible extensions, notably to intraday transactions.

1 A pragmatic design for an EU FTT

FTTs are neither new nor untested. They have existed for centuries and remain in force in several major financial centres. The relevant question is therefore not whether an FTT can exist, but how it should be designed (Capelle-Blancard, 2024a).

The proposal considered here has four core design features. First, it would apply only to transfers of ownership of shares, not to all financial transactions. The taxable event would be the legal transfer of ownership, recorded through settlement or end-of-day net acquisition, rather than every order or intraday trade. Second, it would follow the issuance principle: the tax would apply to shares issued by companies incorporated in EU Member States, irrespective of where the transaction takes place or where the investor is resident. Third, it would be levied at a moderate rate of 0.5%, in line with the UK stamp duty. Fourth, it would preserve standard exemptions for primary issuance and genuine market-making activities.

These design choices are intended to make the tax administratively feasible, legally robust and politically more acceptable than a comprehensive FTT. They also explain why this proposal differs from the broader 2011–2013 European FTT project: it starts with the most operationally tested part of the tax base, while leaving intraday transactions and other financial instruments for possible later extensions.

The most important of these design features is the issuance principle. Under this principle, the tax applies to transactions in shares issued by companies incorporated in the taxing jurisdiction, regardless of the residence or nationality of the investor and regardless of where the transaction takes place. This is the logic underpinning the UK stamp duty and the French FTT. It is crucial for enforceability: the tax is linked to the legal transfer of ownership of securities, not to the location of the trading platform or intermediary. This design considerably limits avoidance opportunities and explains why such taxes can be maintained even in highly internationalised financial markets (Capelle-Blancard and Persaud, 2025).[1]

Administrative feasibility is a central reason for choosing this design. The proposal does not require creating a tax on all financial transactions from scratch. It builds on existing settlement, reporting and securities-registration infrastructures. Because the taxable event is the legal transfer of ownership of issued shares, collection can rely on the institutions that already record, settle or report these transfers. Harmonisation would still be needed at EU level, notably to define the common tax base, rate, exemptions and reporting obligations, but the administrative challenge is much more limited than for a comprehensive FTT covering derivatives, foreign exchange or crypto-assets.

Beyond the fiscal case, the proposal also has an established economic rationale. Keynes, and later Tobin and Stiglitz, argued in different contexts that very short-term financial trading may

[1]The possibility that some new firms might incorporate outside the EU to avoid the tax cannot be entirely ruled out, but it is unlikely to be a major margin of avoidance. The tax would apply only to secondary-market transfers of shares, not to primary issuance, and its rate would be very low relative to the legal, fiscal, regulatory and governance costs associated with incorporating outside the firm's main economic area. For most firms, access to investors, legal certainty, listing conditions and corporate taxation are far more important than a modest tax on future share transactions.

generate private gains without always contributing to the social usefulness of financial markets. The point is not to obstruct market functioning, but to ensure that a modest share of the gains from highly liquid financial-market activity contributes to public revenue, while discouraging the most socially unproductive forms of short-term trading.

For the purpose of new EU own resources, the fiscal argument is central. The proposed FTT would raise revenue from secondary-market financial activity, rather than from labour income, ordinary consumption or primary corporate financing. This matters for both efficiency and fairness: the tax would target a large, concentrated and relatively undertaxed base, while leaving primary issuance outside its scope. It would therefore not tax firms when they raise new equity capital. Existing evidence on the French FTT suggests that a low-rate equity tax can reduce trading volumes moderately, by around 10–20%, without significant effects on market liquidity or volatility. The proposal is therefore not to weaken EU capital markets, but to tax a narrow segment of financial activity in a way that preserves their core functions.

This makes the proposal intentionally pragmatic. Rather than reviving the broader and more politically contentious idea of taxing all financial instruments, it builds on what already exists and works: a narrow, enforceable levy on equity transfers, based on the issuance principle, at a low nominal rate, with standard exemptions for primary issuance and market-making activities where appropriate. This approach would allow the EU to create a new own resource from a tried-and-tested tax instrument, while avoiding many of the objections usually directed at more comprehensive versions of the FTT.

2 Existing national policies

The proposed EU own resource would not be created in a vacuum. Several European countries already tax financial transactions, and the most relevant examples are not marginal cases: they include the United Kingdom, France, Italy and Spain.

The United Kingdom remains the main benchmark. Its stamp duty on share transactions dates back to 1694 and is still in force. It applies at a rate of 0.5% to purchases of shares issued by UK companies. The UK stamp duty raises £4.32 billion in 2024–25, illustrating that such instruments can provide stable and non-negligible revenues. The key feature of the British model is the issuance principle: the tax applies because the share is issued by a UK company, irrespective of the nationality or residence of the investor and irrespective of where the transaction is executed. Primary market issuances, market-making activities and shares listed on the Alternative Investment Market are exempt. The UK experience is particularly important because it shows that a major financial centre can maintain a sizeable equity transaction tax over a very long period without undermining the development of its financial sector.

France introduced its current FTT in 2012. The French tax also follows the issuance principle. It applies to acquisitions of shares issued by companies whose registered office is in France and whose market capitalisation exceeds EUR 1 billion.[2] The tax is paid by the buyer and it is calculated on net acquisitions recorded at the end of the trading day. This means that the French FTT is not, strictly speaking, a tax on transactions, but a tax on transfers of ownership. Intraday transactions that are opened and closed within the same day are therefore effectively excluded from the tax base.[3] The rate of the French FTT was initially 0.2%, then increased to 0.3% in 2017, and 0.4% in

[2] The list of companies subject to the tax is updated annually.

[3] The French FTT formally has three components: a tax on share transfers, a tax on high-frequency trading,

2025. The French case is especially useful for the present proposal because it shows how a modern equity FTT can be implemented unilaterally, even in an open financial market.

Italy introduced a similar tax in 2013, shortly after France. It applies to shares of Italian companies above a market-capitalisation threshold of EUR 500 million. The Italian design is broader in some respects, since it also includes a tax on derivatives and a specific component targeting high-frequency trading. It also differentiates between transactions executed on regulated markets and those executed elsewhere: the rate is 0.2% for transactions on regulated markets and 0.4% otherwise (since 2026). This feature is important because it can encourage trading to move towards more transparent and regulated venues. Italy therefore illustrates a possible refinement of the French model, even though the proposal considered here remains focused on a simple equity transfer tax.

Spain reintroduced an FTT in 2021, after having abolished an earlier tax in 1988. The Spanish tax follows the same broad family of instruments as the French and Italian taxes: it focuses on equity transactions and provides another recent example of a Member State implementing an FTT independently. Together, the French, Italian and Spanish cases show that unilateral implementation within the EU is feasible and that such taxes do not require a fully global agreement in order to operate.

Other European countries also have FTTs. Belgium has had a tax on stock-exchange transactions since 1913. Its design, however, differs from the British, French and Italian models. It is linked to the involvement of a Belgian financial institution or to Belgian-resident investors, and it appears easier to circumvent than systems based on the issuance principle. Ireland also applies a stamp-duty-type tax, introduced in 1937 on the British model, with a rate of 1%. Existing work also identifies Finland, Poland, Cyprus and Malta among European countries with FTT-type instruments. These cases confirm that securities transaction taxes are not exceptional within Europe, although their design, scope and revenue performance vary substantially.[4]

Beyond Europe, securities transaction taxes are also widely used in several Asian markets, including Hong Kong, South Korea, China, Taiwan and India. This is important because these are not marginal or stagnant markets: several of them are among the most active equity markets in the world, and their experience shows that transaction taxes can coexist with highly dynamic trading activity, while generating substantial revenues.

Overall, the international landscape is heterogeneous. Some instruments, such as the UK stamp duty, the French FTT or the Spanish FTT, are close to an issuance-based equity transfer tax. Others are broader securities transaction taxes, stamp duties or financial transaction taxes applying to different instruments or market segments.

Table 11 provides an illustrative overview of selected existing taxes on equity and securities transactions, without attempting to provide an exhaustive or fully harmonised taxonomy.

A specific political-economy issue arises for Member States that already levy such taxes. Their likely reaction would depend on whether an EU-wide FTT is designed as a replacement for existing national schemes or as a harmonised EU component built on top of, or alongside, them. These countries are unlikely to object to the principle of taxing equity transactions, since they already do so. However, they may be reluctant to give up national revenues if the proceeds were transferred entirely

and a tax on naked sovereign credit default swaps. In practice, however, only the first component is effective. The high-frequency trading component is too narrow to generate meaningful revenue, while the naked CDS component became largely irrelevant after EU restrictions on such transactions.

[4]Several European countries previously levied similar taxes but later abolished them, notably the Netherlands in 1990, Germany and Sweden in 1991, Norway in 1993, Denmark in 1999 and Austria in 2000. These historical precedents should be interpreted with caution, as the abolished taxes often differed substantially in design from issuance-based equity transfer taxes such as the UK stamp duty or the French FTT.

to the EU budget. This reinforces the need to distinguish between gross EU-wide revenue potential and net additional resources for the MFF. In practice, the design could allow for coordination with existing national schemes, for instance through revenue-sharing, credits for existing taxes, or a gradual harmonisation of the base and rate.

The main lesson from existing national policies is clear. The success of an FTT depends less on the abstract principle of taxing financial transactions than on the details of its design. Taxes based only on the location of the intermediary or the trading venue are more vulnerable to avoidance. By contrast, taxes based on the issuance principle are more robust because the tax follows the security itself. The EU proposal examined here should therefore draw primarily on the UK, French, Italian and Spanish experiences, while avoiding the weaknesses of more easily circumvented systems.

Table 11: Selected existing taxes on equity and securities transactions

Jurisdiction	Main rate	Main scope and design features
France	0.4%	FTT on acquisitions of equity securities issued by French companies with market capitalisation above €1 billion. Primary issuance and several market operations are exempt; intraday transactions are outside the effective tax base.
Italy	0.2–0.4%	FTT on transfers of shares and equity-like instruments issued by Italian companies with market capitalisation above €0.5 billion. The lower rate applies to transactions executed on regulated markets or multilateral trading facilities. The Italian FTT also includes specific, albeit marginal, components for derivatives and high-frequency trading.
Spain	0.2%	FTT on onerous acquisitions of shares in Spanish companies with market capitalisation above €1 billion.
Belgium	0.12%-1.32%	Tax on stock-exchange transactions. The applicable rate and cap depend on the type of financial instrument. This design is less close to a pure issuance-based equity transfer tax.
Ireland	1%	Stamp duty on instruments or transfer orders transferring shares, stocks or marketable securities.
Greece	0.1%	Tax on sales of shares listed on a Greek regulated market or multilateral trading facility. The rate was reduced from 0.2% to 0.1% from 2024.
United Kingdom	0.5%	Stamp Duty / SDRT on purchases or transfers of shares in UK companies. Electronic transactions are generally collected through CREST. This remains the main benchmark for an issuance-based equity transfer tax.
Switzerland	0.15% / 0.30%	Securities transfer stamp tax on purchases and sales of Swiss or foreign securities when a Swiss securities dealer acts as contracting party or intermediary. The lower rate applies to Swiss securities and the higher rate to foreign securities.
Hong Kong	0.1%+0.1%	Stamp duty on the sale or purchase of Hong Kong stock. The duty is charged on every bought note and every sold note.
Singapore	0.2%	Share stamp duty on transfers of shares, computed on the purchase price or value of the shares transferred.
South Korea	0.15%-0.35%	Securities transaction tax on transfers of Korean shares. Rates differ across listed and unlisted markets and have changed repeatedly in recent years.
China	0.05%	Stamp duty on stock transactions, reduced from 0.1% to 0.05% from 28 August 2023.
Taiwan	0.3%	STT levied on sellers of securities. Reduced rates or suspensions apply to some instruments and transactions.
India	0.1%	STT applying to exchange-traded equity and derivatives transactions. Rates differ across delivery-based equity trades, intraday trades, futures and options.
South Africa	0.25%	Securities transfer tax on the transfer of listed and unlisted securities.

Notes: This table is illustrative rather than exhaustive. It focuses on existing taxes that are closest to an equity transaction or equity transfer tax. Rates and scope are simplified; exemptions, collection mechanisms and anti-avoidance rules differ substantially across jurisdictions.

3 The (former) European FTT project

The idea of a European financial transaction tax gained renewed political momentum after the 2007–2008 financial crisis. The crisis strengthened the view that the financial sector should make a fairer contribution to public finances and that new fiscal instruments could also help discourage socially unproductive short-term trading. The European Parliament called on the Commission to examine the issue in 2010, and the initiative was then strongly supported by France and Germany. In September 2011, the European Commission adopted a proposal for a Council directive establishing a common system of financial transaction tax across the European Union.

The Commission proposal was deliberately ambitious (Gabor, 2016). Its objective was not merely to create a new source of revenue, but also to harmonise existing national approaches, prevent fragmentation of the Single Market, ensure a fair contribution from the financial sector, and discourage transactions considered not to contribute to the economy. The proposal was based on a broad tax base and low rates. It would have applied to secondary-market transactions involving financial institutions, with minimum rates of 0.1% for shares and bonds and 0.01% for derivatives. The Commission described the approach as applying to all markets, all instruments and all actors. In particular, the proposed tax would have applied to gross transactions before netting and settlement, thereby including intraday transactions.

The expected revenue was substantial. For the EU as a whole, the Commission estimated that the proposal could raise around EUR 57 billion per year. Other estimates for the eleven Member States later involved in the enhanced cooperation procedure suggested annual revenues of around EUR 30–35 billion. These figures reflected the breadth of the initial proposal: a large share of expected revenue came not from the taxation of equity transactions alone, but from the inclusion of bonds and, especially, derivatives.

The project immediately encountered strong opposition. Because taxation requires unanimity in the Council, the proposal could not be adopted at EU-wide level. Several Member States were reluctant or hostile, especially those concerned about the impact on financial centres, market liquidity or the relocation of trading activity. The United Kingdom, Sweden and the Netherlands were among the most vocal opponents in the political debate.

As unanimity proved impossible, the debate shifted towards enhanced cooperation. In 2012, eleven Member States requested authorisation to proceed together: Belgium, Germany, Estonia, Greece, Spain, France, Italy, Austria, Portugal, Slovenia and Slovakia. The Council authorised enhanced cooperation in January 2013, and the Commission tabled a revised proposal in February 2013 for these participating countries. Estonia later withdrew from the process, leaving ten participating Member States. The use of enhanced cooperation was politically significant, as it would have been the first case of such a procedure in the field of taxation.

Despite this narrower framework, negotiations never reached a conclusion. The participating Member States continued to disagree on the scope of the tax, the treatment of derivatives, the residence and issuance principles, the allocation of revenues and the possible effects on non-participating Member States. The proposal remained blocked in the Council for years. In 2023, the Commission stated that the prospects of reaching an agreement were limited and that there was little expectation of an agreement in the short term. In its 2026 work programme, the Commission indicated its intention to withdraw the proposal.

The lesson for the present proposal is not that an EU FTT is impossible, but that its design must avoid the main pitfalls of the 2011–2013 project. The proposal examined here is therefore much less ambitious than the earlier European project. It does not seek to tax all financial instruments, all markets and all financial actors. It does not include bonds, derivatives or foreign-exchange transactions at the adoption stage. Nor does it attempt to tax all gross intraday transactions. Instead, it focuses on equity transfers, following the logic of existing national schemes such as the British stamp duty and the French FTT.

This narrower design responds directly to several of the issues on which the earlier negotiations became blocked. It relies on a tested tax base, limits the administrative complexity associated with derivatives and other instruments, and reduces relocation risks by using the issuance principle rather than the location of trading venues or intermediaries. This does not mean that reluctant Member States, notably Sweden and the Netherlands, would necessarily support the proposal, since their opposition also reflects broader political concerns about new EU own resources. But it does mean that the debate would be framed differently: the key question would no longer be whether a comprehensive FTT is technically workable, but whether Member States are willing to allocate part of a narrow, tested and enforceable tax base to the EU budget.

4 Revenue potential at Member State level

The revenue estimates presented here follow an inference-based approach, rather than a purely hypothetical one (Capelle-Blancard and Persaud, 2025). The method is anchored in the observed revenue of the French FTT and then applied to equity trading volumes in other Member States. This is deliberately conservative: rather than assuming that the full statutory tax rate applies to all market transactions, it starts from what the French tax actually raises under the existing design, with its exemptions, its daily netting mechanism and the exclusion of intraday trading.

The reference year is 2024. In France, the FTT raised EUR 1,860 million, including EUR 528 million allocated to the Agence française de développement. According to ESMA[5], the total value of equity transactions in France in 2024 was EUR 3,502,800 million. The implicit tax ratio is therefore:

$$\frac{1,860}{3,502,800} = 0.0531\%.$$

This figure is much lower than the statutory rate of the French FTT, which was 0.3% in 2024 (0.4% since April 2025). It implies that the effectively taxed base represents only:

$$\frac{0.0531\%}{0.3\%} = 17.7\%$$

of total equity trading volumes. In other words, the implicit exemption or out-of-scope rate is approximately 82.3%. This reflects the narrowness of the current French design: the tax applies to transfers of ownership recorded at the end of the day, not to all intraday transactions. Paradoxically, the most short-term transactions are therefore largely left outside the tax base.

The same implicit tax ratio is then applied to the equity trading volume of each Member State.[6] The estimate at a 0.3% statutory rate is given by:

[5] *ESMA statistics on securities and markets*, ESMA11-239717167-20877.

[6] For some Member States, including Luxembourg, ESMA reports no equity trading volume in the dataset used for this exercise. These entries are therefore kept at zero for consistency. They should not be interpreted as implying the absence of financial-market activity, nor as meaning that these markets deal only in derivatives. They reflect the coverage and classification of the equity-trading data used here.

$$R_i^{0.3} = T_i \times \frac{1,860}{3,502,800},$$

where T_i is the total equity trading volume in Member State i. The estimate at a 0.5% rate is obtained by assuming a proportional increase in revenue:

$$R_i^{0.5} = R_i^{0.3} \times \frac{0.5}{0.3}.$$

Table 12 reports the revenues estimated using this approach for each EU Member State.[7]

Overall, an EU-wide equity transfer tax at a 0.5% rate would raise approximately EUR 8.3 billion per year before any additional behavioural adjustment. If a 20% reduction in trading volumes were applied, in line with the conservative assumption used in previous work, the estimate would fall to around EUR 6.7 billion per year. The plausible order of magnitude is therefore approximately EUR 6.5–8.3 billion per year.

This should be interpreted as an estimate for a narrow tax on equity transfers, not as an estimate for a broader FTT including bonds, derivatives or intraday transactions.[8]

The distribution of revenues would be highly concentrated. France alone would account for about 37% of total EU revenue, followed by the Netherlands with 23.5% and Germany with 19.1%. Together, these three countries would generate almost 80% of the total. Including Italy brings the share to around 86%. This concentration reflects the geography of equity trading within the EU rather than any specific assumption about tax capacity or political preferences.[9]

This concentration is politically important, but it should be interpreted with caution. The estimates above allocate potential revenues according to recorded equity trading volumes, not according to the Member State of incorporation of the issuer or the residence of the final investor. They therefore identify where trading activity is recorded, not which Member State would economically bear the tax under an issuance-based EU design. This distinction is especially important for countries such as the Netherlands, where recorded equity trading volumes are large. The proposal should not be presented as a national levy on the Member State hosting the trading platform, but as an EU own resource levied on transfers of EU-issued shares, with the legal basis attached to the security rather than to the trading venue.

[7] The Member State allocation is based on observed equity trading volumes reported in the ESMA dataset, rather than on the headquarters of the issuing firms. It should therefore be read as an operational approximation, not as a precise legal allocation under the issuance principle. Existing national FTTs are not deducted from these gross estimates. The figures therefore measure gross revenue potential, not the net additional resources that would accrue to the EU budget after coordination with existing national schemes.

[8] These illustrative figures differ from previous estimates of FTT revenues (Capelle-Blancard and Persaud, 2025) for methodological reasons. In earlier work, transaction volumes were based on a combination of World Bank and Refinitiv data for 2022, and revenues were estimated by assuming that 15% of total turnover would remain taxable after exemptions and that trading volumes would fall by 20% after the introduction of the tax. At a 0.5% statutory rate, this amounts to applying an effective revenue ratio of approximately 0.06% to total trading volumes. The Member State estimates reported here use ESMA trading volumes instead, and apply the implicit French revenue ratio observed in 2024, scaled from the French statutory rate to a 0.5% rate. The difference between the two sets of results therefore reflects both the use of a different data source for trading volumes and a different effective tax ratio. These figures should be read as illustrative orders of magnitude rather than as directly comparable estimates.

[9] As an illustrative benchmark, applying the same implicit revenue ratio to WFE equity trading volumes gives much larger orders of magnitude for major non-EU markets: approximately EUR 116 billion for the United States, EUR 6.9 billion for Japan, EUR 28.6 billion for China, and EUR 178 billion at the world level. These figures should be interpreted with great caution. WFE trading volumes are not directly comparable with the ESMA data used for the EU Member State estimates. They are therefore provided only as indicative orders of magnitude, not as directly comparable revenue estimates.

The political design should therefore avoid treating the distribution of recorded trading volumes as a distribution of national contributions. A more robust presentation would distinguish three issues: the place where transactions are recorded, the securities that fall within the legal scope of the tax, and the final allocation of revenues to the EU budget. For Member States that already levy an FTT, coordination with national schemes would also be necessary, either through credits, revenue-sharing or a transitional arrangement. For Member States with large trading platforms but no existing FTT, the central point is that the tax would not be a charge on the national budget, but a levy on financial-market transactions involving EU-issued shares.

Table 12: Estimated revenues by EU Member State

Member State	Code	Equity trading volume EUR million	Estimated revenue EUR million, 0.5% rate
Austria	AT	29,800	26.4
Belgium	BE	69,000	61.1
Bulgaria	BG	200	0.2
Cyprus	CY	900	0.8
Czechia	CZ	4,300	3.8
Germany	DE	1,802,500	1,595.2
Denmark	DK	128,600	113.8
Estonia	EE	100	0.1
Spain	ES	271,900	240.6
Finland	FI	91,900	81.3
France	FR	3,502,800	3,100.0
Greece	GR	25,700	22.7
Croatia	HR	300	0.3
Hungary	HU	6,700	5.9
Ireland	IE	272,800	241.4
Italy	IT	615,200	544.5
Lithuania	LT	100	0.1
Luxembourg	LU	0	0.0
Latvia	LV	0	0.0
Malta	MT	0	0.0
Netherlands	NL	2,215,800	1,961.0
Poland	PL	71,200	63.0
Portugal	PT	28,100	24.9
Romania	RO	2,200	1.9
Sweden	SE	277,000	245.1
Slovenia	SI	500	0.4
Slovakia	SK	0	0.0
European Union	EU27	9,417,600	8,334.6

5 Responses to common objections

The debate on FTTs is marked by a recurring set of objections. Many of them are serious and should not be dismissed. However, they often refer to very broad FTT schemes, whereas the proposal considered here is narrower: a tax on equity ownership transfers, based on the issuance principle, at a moderate rate. This distinction is crucial. The question is not whether any possible FTT would be desirable, but whether this specific design can provide a robust and workable own resource.

1. **The FTT would reduce market liquidity.**

   This objection is partly correct but often overstated. An FTT increases the cost of trading and is therefore expected to reduce trading volumes (International Monetary Fund, 2010). The key point, however, is that trading volume and useful liquidity are not the same thing. A reduction in turnover does not necessarily imply that investors are unable to trade at reasonable cost, especially if the tax is low, applies only to equity ownership transfers, and preserves exemptions for genuine market-making activities.

   The evidence on the French FTT is particularly useful in this respect. Colliard and Hoffmann (2017) show that the tax reduced trading activity and changed market composition, but they do not find evidence of a collapse in market quality. In particular, the French experience does not support the claim that a low-rate equity FTT necessarily destroys liquidity or increases volatility. The relevant lesson is therefore more nuanced than either side of the debate sometimes suggests: trading volumes may decline, but this does not automatically translate into a significant deterioration of useful liquidity.[10]

   The Swedish case points in the same direction, but for a different reason. It is often presented as evidence that FTTs are unworkable. In fact, it is mainly evidence that design matters. The Swedish tax was vulnerable because it was linked to domestic brokers and trading activity located in Sweden. Transactions could therefore be relocated abroad, notably through foreign intermediaries, without changing the underlying securities. This is precisely the weakness that an issuance-based design is meant to avoid. Under the proposal considered here, the tax would follow the security itself: a share issued by a company incorporated in a participating Member State would remain within the scope of the tax regardless of where the transaction is executed.

2. **The FTT would increase volatility.**

   The theoretical effect of an FTT on volatility is ambiguous: it may reduce liquidity and thereby increase volatility, but it may also reduce very short-term noise trading and self-reinforcing speculation. The issue should therefore be assessed empirically.

   The available evidence from recent European equity FTTs does not support the claim that low-rate transaction taxes mechanically increase volatility. Studies of the French FTT find no statistically significant increase in volatility after the introduction of the tax, despite a reduction in trading volumes (Gomber et al., 2016; Meyer et al., 2015; Capelle-Blancard and Havrylchyk, 2016; Colliard and Hoffmann, 2017). This result is robust across several empirical analyses using different control groups, time windows and data frequencies. Similar

[10] Moreover, the literature on individual investors shows that more frequent trading often reduces net performance (De Bondt and Thaler, 1995; Shleifer, 2000; Odean, 1999; Barber and Odean, 2000, 2001).

evidence from Italy and Spain also does not point to a major deterioration in market quality following the introduction of equity FTTs (Hvozdyk and Rustanov, 2016; Cappelletti et al., 2017; González-Fernández et al., 2024).

The empirical conclusion is therefore cautious but important: a poorly designed FTT could in principle affect volatility, especially if it impaired liquidity. However, the experience of modern, low-rate equity FTTs suggests that this is not what happens under designs close to the one proposed here. The relevant risk is not volatility per se, but poor design; this is why the proposal remains limited to equity ownership transfers, uses a moderate rate, and preserves exemptions for genuine market-making activities.

3. **The FTT would raise the cost of capital for firms.**

   This objection relies on an apparently straightforward chain of reasoning: a transaction tax is capitalised into equity prices; equity values fall; the cost of equity rises; and the firm's WACC increases. This channel should not be dismissed. But it depends on a key intermediate step: the tax must materially impair useful liquidity. If the tax reduces trading volumes without significantly affecting market quality or liquidity, the link between the transaction tax and the cost of capital becomes much weaker.

   Moreover, the tax does not increase trading costs in the same way for all investors. It is most costly for short-horizon investors who trade frequently. For long-term investors, by contrast, the cost is amortised over the holding period and becomes small on an annual basis. This is one of the merits of the tax: it increases the relative cost of short-term turnover without significantly penalising long-term shareholding.

   This point also connects with a broader literature on the hidden costs of excessive liquidity and investor short-termism. Theoretical work has long emphasised that very liquid markets may weaken shareholders' incentives to monitor firms, because dissatisfied investors can exit rather than exercise control (Coffee, 1991; Bhide, 1993). Empirical studies similarly show that short investment horizons and high portfolio turnover can be associated with managerial myopia, lower long-term investment, reduced R&D, distorted investment decisions and stronger price pressures during market shocks (Bushee, 1998; Aghion et al., 2013; Derrien et al., 2013; Cella et al., 2013; Cremers et al., 2020; Garel and Petit-Romec, 2017). The relevant issue is therefore not simply whether the tax is capitalised into prices, but whether it changes the balance between short-term trading and long-term ownership in a way that harms or improves firms' financing conditions.

   This is why the empirical evidence on liquidity is decisive. The theoretical link between liquidity and expected returns is well established (Amihud and Mendelson, 1986; Amihud, 2002). But the empirical relevance of this channel for a low-rate equity transfer tax is much less clear. Evidence on the French FTT shows that trading volumes declined, but the effects on market quality were limited and did not provide evidence of a large disruption to liquidity. If the liquidity channel is weak or breaks at this stage, there is little reason to expect a material effect on firms' cost of capital.

   Direct evidence is also reassuring. Fraichot (2017) studies the effect of an FTT on corporate cost of capital and finds an insignificant impact in highly liquid equity option markets. More recently, Do (2025) studies the 2012 French FTT and finds a positive effect on corporate investment, especially where the tax induced a shift from short-term to longer-term ownership.

This suggests that any increase in transaction costs may be offset by a reduction in short-termism, rather than mechanically raising firms' financing costs (Fraichot, 2017; Do, 2025).

4. **The FTT would harm investment and competitiveness.**

   This objection assumes that the presence of a FTT makes a financial centre unattractive. Existing experience suggests otherwise. The United Kingdom has maintained a stamp duty on share transactions for centuries while remaining one of the world's leading financial centres. France, Italy and Spain have also introduced modern equity FTTs without undermining the functioning of their equity markets.

   Competitiveness concerns should therefore be assessed in relation to the design of the tax. A badly designed tax can create distortions. A tax based on the issuance principle, applied at a moderate rate and limited to equity transfers, is much less likely to damage competitiveness than a tax based only on the location of intermediaries or trading venues.

5. **The FTT would lead to relocation.**

   As the Swedish example illustrates, relocation is a serious risk when the tax is based on the location of the broker, the exchange or the intermediary. This is not the logic of the proposal considered here.

   Under the issuance principle, the tax follows the security, not the marketplace. A share issued by a company in a participating Member State remains within the scope of the tax even if it is traded through a foreign intermediary or on an alternative platform. This substantially limits the scope for relocation, because moving the transaction does not remove the underlying security from the tax base.

6. **The FTT would be easy to avoid.**

   Avoidance is possible for any tax, but the risk is much lower when the tax is attached to the transfer of legal ownership. The British stamp duty illustrates this logic: the tax is connected to the recognition and settlement of ownership. The French system also shows that an equity transfer tax can be implemented in a modern, highly internationalised market.

   The main remaining issue is substitution towards untaxed instruments or arrangements, including derivatives. This is a valid concern. However, the proposal examined here is deliberately conservative and focuses on the most robust part of the tax base: equity ownership transfers. Additional anti-avoidance rules could be considered if substitution became significant, but the existence of possible avoidance margins is not a reason to abandon the tax altogether.

7. **The FTT would hit ordinary savers.**

   This objection is often politically powerful but economically incomplete. The direct payer may be the buyer of the share, but the economic incidence of the tax depends on trading behaviour, portfolio structure and market intermediation. Ordinary savers typically trade much less frequently than professional intermediaries or short-term investors. For buy-and-hold investors, the effective annual cost of a small transaction tax is not significant.

   The French case suggests that a substantial share of the tax would also be collected from foreign investors. In 2024, non-residents held 50% of the capital of French-resident CAC 40 companies. Under the (plausible) assumption that trading shares are broadly proportional to ownership shares, roughly half of the revenue from an issuance-based tax on French shares would therefore be collected from non-resident investors. For an EU-wide tax, the share paid by non-EU investors would require a dedicated calculation, since intra-EU cross-border holdings would no longer count as external to the Union. The French evidence nevertheless shows that such taxes are not borne only by domestic households.

The redistributive profile of the tax is also important. Equity ownership is highly concentrated among wealthy households. In the euro area, the wealthiest 10% of households own about 82% of directly held listed equities; in France, the concentration is even higher, at close to 88%.[11] By contrast, direct share ownership is limited among the rest of the population. Even when the FTT is ultimately borne by households, it therefore falls disproportionately on wealthier investors and more frequent traders, rather than on ordinary savers. This makes the FTT more progressive than broad-based taxes on labour income or consumption.

8. **The FTT would penalise market-making and useful liquidity provision.**

   This is a design issue rather than a decisive objection. The purpose of the tax is not to penalise genuine liquidity provision, but to tax equity ownership transfers while preserving the market functions that are necessary for orderly trading. Existing FTTs already address this issue through clear exemptions. The French FTT, for example, exempts market-making activities carried out by investment firms or credit institutions, including when these activities are conducted abroad. It also exempts market-making activities carried out on behalf of the issuer in order to support the liquidity of its securities. These exemptions are explicitly designed to protect useful liquidity provision.

   The key challenge is therefore to calibrate exemptions carefully. If they are too narrow, useful liquidity provision may be affected. If they are too broad, the tax base is unnecessarily eroded.

9. **The FTT would be administratively complex to collect.**

   This is an important concern, but it is also one of the reasons for limiting the proposal to equity ownership transfers. As explained above, the tax can rely on existing settlement, reporting and securities-registration infrastructures, rather than on a wholly new administrative system. The UK stamp duty and the French FTT show that such taxes are technically feasible.[12]

   That said, the quality of the collection mechanism matters. The French experience also shows that transparency, access to data and administrative control are important. A European own resource should therefore be designed with clear reporting obligations and strong cooperation between tax authorities, market supervisors and settlement infrastructures.

6 Review of existing surveys on public opinion

Public opinion is one of the relative strengths of the FTT proposal. The available evidence should nevertheless be interpreted with caution. The most detailed EU-wide survey is now somewhat dated, while the most recent survey evidence covers only a limited number of Member States. Taken together, however, the results point to a consistent pattern: financial transaction taxes tend

[11] https://www.afg.asso.fr/app/uploads/2025/02/Etude-AFG-OEE-2025.pdf

[12] The administrative challenge would be greater for possible extensions, especially to intraday transactions, derivatives, foreign exchange or crypto-assets. This is why these extensions are not included in the core proposal.

to attract broad public support, especially when they are presented as a way to make the financial sector contribute to public goods, development, climate action or the costs of crises.

The main EU-wide reference remains the 2011 Eurobarometer survey commissioned by the European Parliament in the aftermath of the financial crisis.[13] In that survey, 61% of Europeans supported the principle of a tax on financial transactions, while 26% were opposed and 13% expressed no opinion. Support was higher in euro area countries, at 63%, than in non-euro area countries, at 54%. The wording of the question explicitly stated that the tax would be very low and would apply to transactions between financial operators, not to the general public.

The same survey also provides useful information on the reasons behind public support. Among respondents in favour of the principle of the tax, the main motivation was to combat excessive speculation and help prevent future crises, followed by the idea that financial actors should contribute to the costs of the crisis. Reducing public deficits and financing innovative policies, including climate, environment and development aid, were also mentioned, but less frequently. This suggests that the public appeal of the FTT is linked not only to revenue-raising, but also to a broader perception of fairness in the taxation of the financial sector.

The objections expressed by opponents in the 2011 survey were also informative. Among those opposed to introducing the tax at EU level as a first step, the main concern was feasibility: some respondents believed that such a tax could only be introduced globally. Other concerns related to competitiveness, the risk that only European financial actors would contribute, and possible capital outflows from the EU. These objections closely mirror the arguments raised in the policy debate. They also reinforce the importance of explaining why the proposal considered here is narrower, issuance-based, and modelled on existing national systems.

More recent evidence is provided by a 2024 survey conducted by Focus 2030 and Stack Data Strategy in France, Germany and Italy, ahead of the European Parliament elections.[14] The survey was carried out between 16 and 22 February 2024, with representative samples of around 1,500 respondents in each of the three countries. It found that 57% of respondents supported a European financial transaction tax, while 80% were either in favour or would not oppose such a tax if it were used to finance the fight against global poverty and climate change. Only 13% opposed the measure. Support, or non-opposition, was highest in France, at 82%, with only 9% opposed.

Available surveys suggest that the FTT is more popular than many other tax instruments, especially when framed as a modest levy on financial transactions rather than a tax on ordinary households. From a political communication perspective, the strongest framing is therefore not technical harmonisation, but fairness: a small contribution from financial-market activity to finance common European and global priorities.

7 Possible extensions

The proposal examined here is intentionally limited to equity ownership transfers. This narrow scope is useful for adoption, but it could later serve as a platform for two main extensions: first, the inclusion of intraday equity transactions; second, the extension of the tax base to other financial instruments, such as derivatives or crypto-assets.[15]

[13] European Parliament, *Eurobarometer 75.2: Europeans and the Crisis*, Analytical synthesis, June 2011.

[14] Focus 2030 and Stack Data Strategy, *Survey: citizen opinions in France, Italy and Germany on the role of the European Union in international development ahead of the elections*, March 2024.

[15] Another possible extension would be a green FTT, either through the allocation of revenues to climate and environmental objectives or through differentiated rates linked to issuers' environmental performance; see (Capelle-

7.1 Extension to intraday equity transactions

The most natural extension would be to include intraday equity transactions. Under the French model, the tax applies to net acquisitions recorded at the end of the trading day. Transactions opened and closed within the same day are therefore outside the effective tax base, including many high-frequency and very short-term strategies. This is a major limitation: the tax applies to investors who hold shares at least until the end of the day, while many of the shortest-term transactions remain untaxed.

Including intraday transactions would broaden the base, increase revenues and improve the coherence of the tax. In the French case, the effectively taxed base represents only a small share of total equity trading volumes, precisely because the tax is collected on transfers of ownership rather than on all transactions. From an economic point of view, it is difficult to justify taxing longer-term investors while leaving the fastest and most speculative transactions outside the scope of the tax.

The main obstacle is operational rather than conceptual (Capelle-Blancard, 2024b). A tax on end-of-day ownership transfers can be collected through central securities depositories such as Euroclear. A tax on intraday transactions, by contrast, requires reliable information at the level of order execution and trading venues. This would imply a change in the collection architecture. One possible route would be to rely more directly on transaction-level reporting under MiFID II, which already provides regulators with detailed information on market transactions.

This extension should not be confused with the taxation of genuine liquidity provision. Market-making is an economic function, not a trading horizon. Some intraday transactions contribute to liquidity, but many others do not. Existing FTTs already include targeted exemptions for market-making activities, including in France. A blanket exclusion of all intraday trading is therefore not the right way to protect liquidity. It amounts to adding a broad and poorly targeted exemption on top of already existing protections. A well-designed EU FTT should preserve clear market-making exemptions, but should not exclude all intraday trading by default.

7.2 Extension to other financial instruments

A second extension would consist in broadening the tax base beyond equity transfers. The earlier European Commission proposal covered not only shares, but also bonds and derivatives. Such a broader base would raise larger revenues and reduce substitution towards untaxed instruments. It would also address a legitimate concern: if only equity transfers are taxed, investors may replicate some exposures through derivatives or other instruments that are economically close to the taxed transaction.

This extension is, however, more complex than the inclusion of intraday equity transactions. Derivatives raise difficult questions of valuation, netting, maturity, notional amounts and economic equivalence. A simple tax on the notional value of derivatives would not be appropriate for all contracts, while a tax on premia or market values may be harder to harmonise and enforce. Crypto-assets raise additional issues, including the identification of taxable events, the location of platforms and intermediaries, and the treatment of decentralised transactions.

For these reasons, the core proposal should remain focused on equity transfers. Once the legal and administrative framework is established, the EU could consider targeted extensions to instruments that are close substitutes for equity transactions, especially equity derivatives. Broader extensions to bonds, foreign exchange or crypto-assets should be treated as separate policy choices,

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requiring specific design and impact assessment. The priority is therefore sequential: first establish a robust equity transfer tax; then broaden the base where substitution risks, feasibility and revenue potential justify doing so.

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